

Ellesse Digital Consultancy

Tianjiao Jia | Fashion Management Portfolio

Academic research and strategy proposal.

Recommendations and targets are proposals, not measured business outcomes.

Public portfolio edition: student identifiers and contact details removed.

Original report content and references follow.



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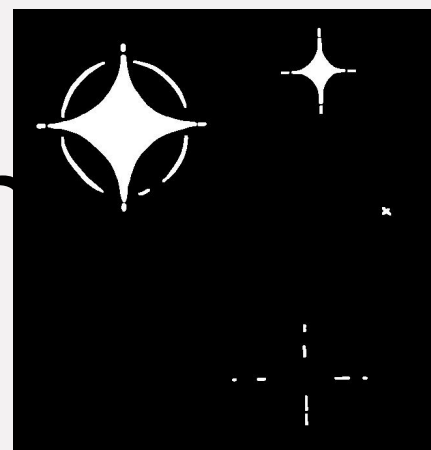
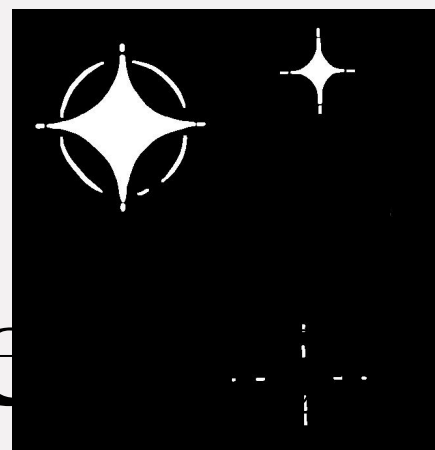
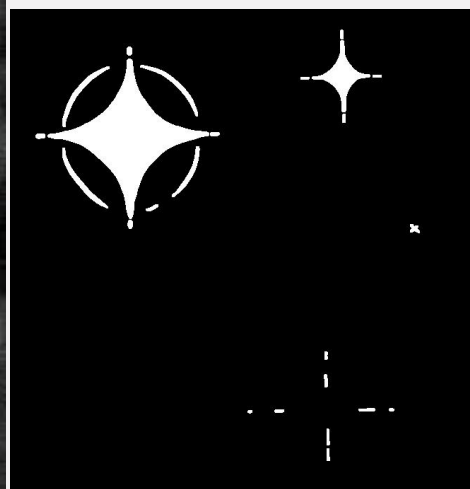
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Executive Summary ✨

This is a digital consultancy report on the Ellesse brand. The report analyses all aspects of the micro and macro environment of the Ellesse brand, uncovers Ellesse's current brand pain points, describes the importance of digital innovation for the brand, as well as making recommendations on how to innovate digitally to gain a competitive advantage, especially for marketing fashion brands.

Ellesse is a well-known sports brand focused on fashion, yet the brand currently lacks digital transformation, innovation and is falling into oblivion. The sports industry is transforming today, with the use of various technologies such as virtual technology, social media, AI, big data and live streaming, and with well-known competitors such as Nike and Adidas joining in the digital transformation of their brands, Ellesse is losing its competitive edge. At the same time, with the change of consumers, consumers are more concerned about online shopping, immersive shopping experience, personalisation, customisation, fast payment and sustainability, and Ellesse failed to identify and respond to the change of consumer demand in a timely manner.

Meanwhile, as the macro environment changes, society pays more attention to fashion trends, sustainable development trends, consumers want novelty, immersive and fast shopping experience; e-commerce, social media, virtual VR technology, AI technology, big data, live broadcasting, robo-chat and other technologies rise and are applied more to the fashion industry; epidemics, wars, Brexit, change of Prime Minister in the United Kingdom, the death of the Queen of the United Kingdom and so on, bring pressure to the fashion industry, and so on. Consumer trends are also changing, with consumers more interested in fashion, comfort, social media, online shopping, immersive shopping experiences, personalisation, fast payment and sustainable consumption.

Analysing these micro and macro factors together, Ellesse brand has the following pain points:

- (1) Product-wise, the brand does not have more innovative products and lacks appeal.
- (2) In terms of sales channels, the brand does not have its own flagship shop offline, and there are not enough shops opened globally; online, the brand does not have its own shopping app, but only the official website and third-party resellers.
- (3) In terms of marketing, the brand's social media account management is chaotic, and the social media marketing campaign is not enough.
- (4) In terms of consumer demand, the brand lacks the use of various types of digital technology. Brands did not use virtual technology, AI, VR, etc. to enhance customers' immersive shopping experience; did not use big data to obtain customer information and provide personalised recommendations; and did not use technologies such as live streaming and robo-chat to give customers one-on-one answers to their questions, etc.
- (5) In terms of brand loyalty, brands lack feedback and community discussions.

In order to address these pain points and follow the trend of digitalisation of fashion brands so as to maintain Ellesse's competitive advantage. This report considers the following three aspects and suggests corresponding digital innovation:

1. Before customer purchase

(1) Product improvement (add 3 new types):

Launch of a virtual fashion collection.

High-end virtual collections.

Virtual fashion personalisation.

(2) Marketing Improvement (Develop 4 new types of marketing):

Organise virtual fashion shows where the audience can watch the fashion show with VR eyes.

Fashion bloggers try on virtual fashions on social media.

Supporting various sports events and using IP characters from virtual games as mascots for tennis tournament ambassadors to attract consumers and add a new brand image.

Use big data analysis to accurately push personalised emails.

2. During the customer purchase process

(1) Online

Create an exclusive APP and add three sections for designing virtual fashion columns, virtual games and virtual communities. Customers can dress up in virtual games and break through levels to get virtual coins, which can be used for cash deduction.

You can click on the link next to the product to play back the product live explanation, and at the same time, there are irregular live broadcasts, randomly issued discount coupon activities.

Set up 24h online robot chat, you can ask the robot some basic questions.

Add a virtual try-on function, so that customers can feel the effect of the upper body at home.

(2) Offline

Conduct offline AR virtual experience

3. After the customer purchases

(1) After purchasing virtual clothes:

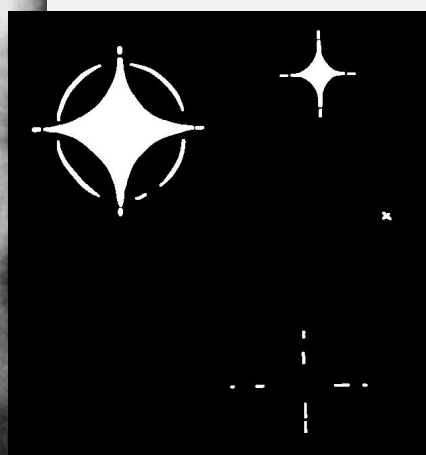
Customers, especially virtual bloggers, can post photos on social media wearing virtual fashion series and personal customised virtual fashion, setting off a virtual fashion trend.

Customers can communicate and give feedback in the virtual community.

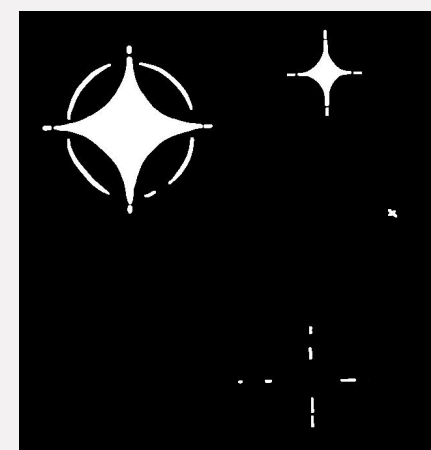
(1) After purchasing real clothes:

Get virtual coin points. Customers can use them in virtual games or convert them to cash credit in their next shopping.

This report will clearly and completely analyse, elaborate and suggest Ellesse's digital transformation, giving a direction and reference for Ellesse's future development.



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Brand Profile

Ellesse is a renowned sports brand with Italian origins, founded in Italy in 1959 by Leonardo Servadio. Starting out as a manufacturer of ski equipment and sportswear, the brand has evolved into a fashionable and casual sportswear brand, with iconic products such as polo shirts, tracksuits, casual wear, sports shoes and accessories, as well as limited editions and special collections.

With a product design philosophy that emphasises the combination of fashion, quality and sport, Ellesse is committed to blending industry-leading technology with elegant Italian style, incorporating the brand's rich skiing, tennis and fitness heritage to create sportswear pieces that are street-worthy. Maintaining a balance between sport and fashion, the brand continues to bring new and dynamic products to the table. (Ellesse, 2023)

Financial profile					
Original documents	31/12/2022 GBP 2022 12 months Uncons. Unqualified UK GAAP	31/12/2021 GBP 2021 12 months Uncons. Unqualified UK GAAP	31/12/2020 GBP 2020 12 months Uncons. Unqualified UK GAAP	31/12/2019 GBP 2019 12 months Uncons. Unqualified UK GAAP	31/12/2018 GBP 2018 12 months Uncons. Unqualified UK GAAP
Turnover	16,393,000	19,095,000	19,357,000	21,884,000	11,029,000
Profit (Loss) before Taxation	7,404,000	8,179,000	1,552,000	4,850,000	3,839,000
Net Tangible Assets	20,134,000	12,550,000	5,898,000	4,621,000	6,000
Shareholders Funds	20,134,000	12,550,000	5,898,000	4,632,000	29,000
Profit Margin	45.17	42.83	8.02	22.16	34.81
Return on Shareholders Funds	36.77	65.17	26.31	104.71	n.s.
Return on Capital Employed	36.77	65.17	26.31	104.71	n.s.
Liquidity Ratio (x)	4.59	2.57	1.79	1.12	0.92
Gearing (%)	17.41	25.90	53.63	109.61	n.s.

Ellesse key financials & employees (Fame, 2023)

Pentland Group Profile

In 1994, Ellesse became part of the Pentland Brands family, incorporating Italian style and tailoring into sportswear. (Pentland Brands, 2023) Pentland Brands is a division of the Pentland Group, a privately held global brand management company that owns Speedo, Berghaus, Canterbury of New Zealand, KangaROOS, Endura, Ellesse, SeaVees, Red or Dead and Mitre, and Kickers. It has retail and wholesale operations in the sports, lifestyle and fashion sectors. (Pentland Brands, 2023)

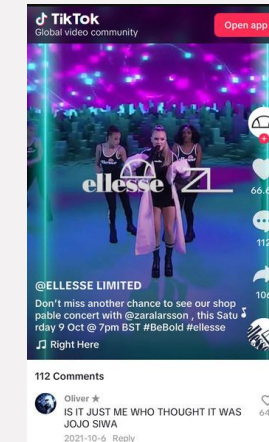
BRAND INTRODUCTION

Ellesse's brand values

1. Dedicated to combining sports and fashion elements to create products with both sports functionality and fashionable design, and strive to become the world's most fashionable sportswear brand.
2. Encourage people to be confident and positive, and convey confidence through lively design.
3. to be a team player and advocate community co-operation.
4. promote sustainability, support charitable activities globally, and develop diversity in fashion and sport. (Pentland Brands, 2023)

Pentland Brands 2022 Highlights (Pentland Brands, 2023)

Help 100 million consumers live positive, active and sustainable lifestyles	Improve the lives of 1 million people in the communities we operate in	Drive a sustainable future with net zero by 2032
19 million consumers impacted	190,000+ people supported in our communities	Signed up to Science Based Targets initiative to validate our net zero plans
Kickers launched first 100% vegan collection	135,000+ products donated to charitable organisations	Berghaus certified as B Corp
Berghaus repaired 6,000 items for free	1,000+ charitable organisations supported across 12 global regions	Funded the planting of 7.8 million trees



Ellesse is hosting online shopping concerts on TikTok (TikTok, 2021)

Ellesse's brand marketing situation

Ellesse is not only known for its unique design style and brand identity, but is also popular for its partnerships with the sports world. The brand has worked with tennis players, ski champions and other athletes and has several tennis ambassadors including legends Tommy Haas, Chris Evert, Guillermo Vilas, Arantxa Sanchez and many more. (Ellesse, 2023) Ellesse has also been a sponsor of several sporting events, such as the New York Marathon in the 1980s and the Italian football team that won the World Cup in 1982. (FA Team, 2015)

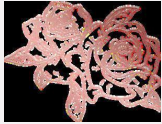
The brand also has its own social media accounts, such as Ins, TikTok, Facebook and Twitter, and often organises a series of marketing campaigns on social media: for example, for the launch of the Autumn/Winter 21 collection, Ellesse teamed up with Swedish singer-songwriter and Ellesse brand ambassador, Zara Larsson, to host the first shoppable live concert on TikTok to host the first shoppable live concert, where viewers could enjoy the show while purchasing clothing on the TikTok app. (Ellesse, 2023)



+ 21 offices across 4 continents	+ 1,500 employees globally	+ 190 countries products available in	+ 100,000 people working in our supply chain
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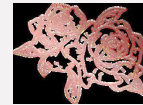
Pentland Brands business status (Pentland Brands, 2023)

ELLESSE'S CURRENT MARKET POSITIONING AND MARKET SHARE



Ellesse current market positioning:

Ellesse is positioned in the market with an emphasis on combining sport and fashion, focusing on products for young, dynamic consumers who are fashion and personality conscious.



POSITIONING MAP

Why

Why was Ellesse created?

At a time when sports equipment on the market generally focused on functionality but lacked a sense of style, Leonardo Servadio, the founder of the Ellesse brand, wanted to create a novel brand that would combine traditional Italian sports styles with fashionable elements, resulting in products that were both sporty and stylish.

When

When to wear Victoria's Secret?

During sports, fitness or training: their sportswear and sports shoes are usually used for various types of sports, such as running, basketball, tennis, fitness and so on. In leisure situations: in everyday life, when meeting with friends, shopping or on a relaxing holiday. In outdoor activities: such as hiking, mountaineering or trekking, etc., with a certain degree of windproof, waterproof and durable performance.

For whom

Who is Ellesse target market?

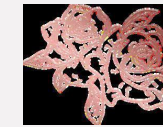
Young consumers between the ages of 20 and 35 who pursue fashion, people who like sports and outdoor, etc.

Against whom

Who are the competitors of Victoria's Secret?

Nike, Adidas, Puma, Under Armour, FILA, Lululemon and other sports brands.

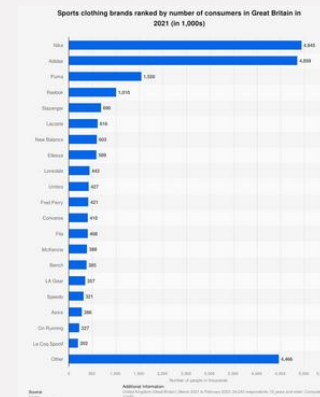
Kapferer 2008, The Brand Positioning Diamond(Author's Own)



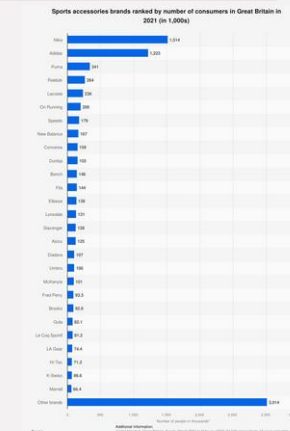
Ellesse current market share:

Ellesse sells its products all over the world, including 18 countries in Europe, including the UK, Ireland, Italy, Germany, Austria, Switzerland and France; 10 countries in Asia, including China, Japan and Singapore; 8 countries in Africa, including South Africa and Swaziland; the USA and Chile in South America. (Fibre 2 Fashion, 2023).

Ellesse is ranked among the top sports brands in terms of number of consumers and has some market share, but it still cannot replace sports headline brands such as Nike, Adidas and Puma. As shown below, by 2021, Ellesse sportswear ranks 8th in the UK in terms of number of consumers at 589,000 and sports accessories ranks 13th in the UK at 138,000 consumers. However, in 2021, Nike, Adidas and Puma will remain the most popular sports brands, with 4,945,000, 4,859,000 and 1,550,000 consumers for sports apparel and 1,514,000, 1,223,000 and 341,000 consumers for sports accessories. (Statista, 2022)

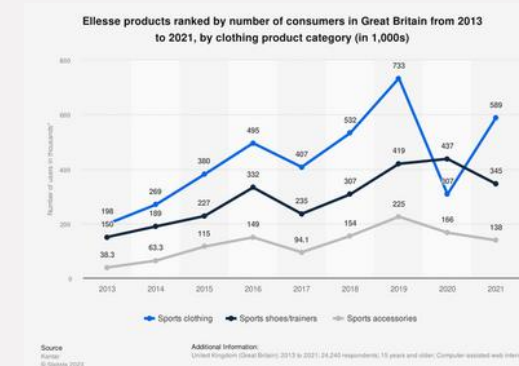


Sports clothing brands ranked by number of consumers in Great Britain in 2021 (in 1,000s) (Statista,2022)



Sports accessories brands ranked by number of consumers in Great Britain in 2021 (in 1,000s) (Statista,2022)

As for Ellesse products, Ellesse consumers are more likely to buy its sports apparel, followed by sports shoes, and lastly sports accessories. By 2021, 589,000, 345,000, and 138,000 consumers purchased Ellesse sports apparel, sports shoes, and sports accessories, respectively. (Statista, 2022)

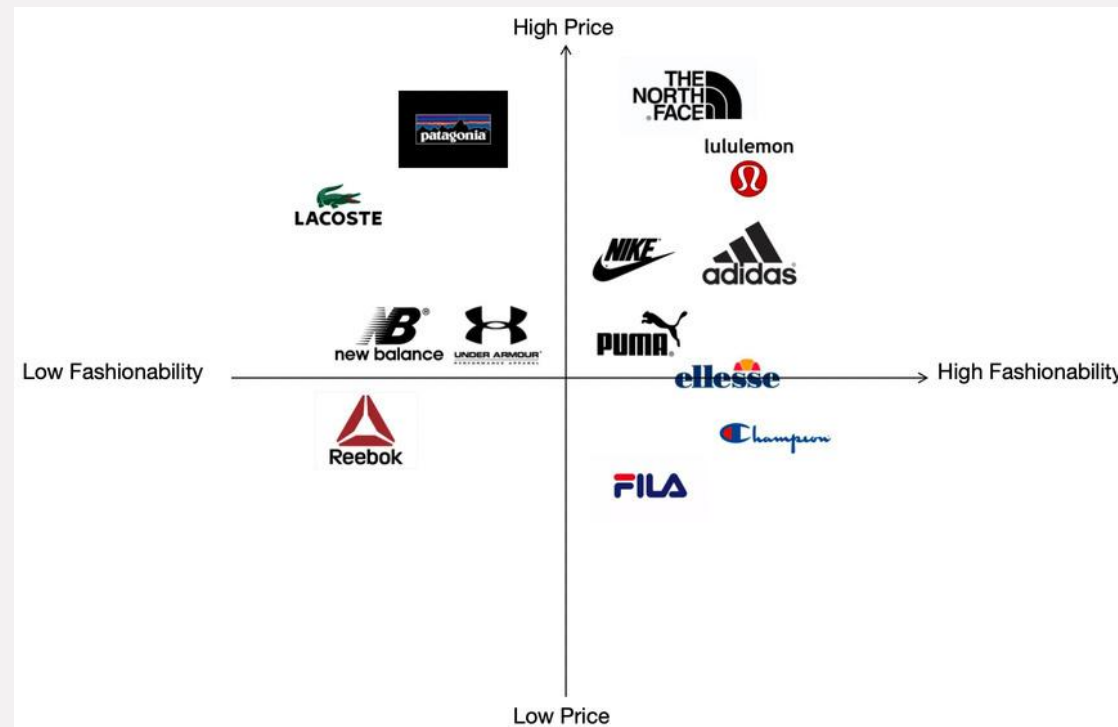


Ellesse products ranked by number of consumers in Great Britain from 2013 to 2021, by clothing product category (in 1,000s) (Statista,2022)

ELLESSE'S CURRENT COMPETITORS AND COMPETITORS' STRENGTH OVER ELLESSE



PERCEPTION MAP



Perceptual Map(Authors own,2023)

As the chart shows, Ellesse has a lot of competitors, but it's easy to see that Ellesse's fashion is on the strong side, with headline sports brands such as Nike, Adidas, Puma, New Balance, Under Armour, Reebok and others being moderately priced, but with a slightly lesser sense of fashion than Ellesse; while The North Face, Patagonia, Lululemon, Lacoste and other brands are on the higher side of the price scale; while Champion and Lila are the closest brands to Ellesse, with comparable fashion sense and price.

Sports brands such as Nike, Adidas, Puma, Lululemon, Champion, Fila and others are growing rapidly and have a clear competitive advantage when it comes to digital branding.

(1) Invented mobile apps that offer features such as shopping, customised experiences, sports instruction and fitness classes. For example, the Nike Training Club app offers a variety of fitness classes and allows users to customise their plans according to their personal preferences. Nike allows consumers to customise their footwear and sportswear through digital technology, including colours, patterns and personalised logos.

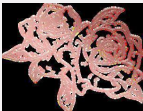
(2) has invested heavily in AR/VR technology. The brand offers shoe fitting AR experiences as well as immersive VR experiences in shops or at events.

(3) Has an extensive social media presence, delivering engaging content, influential collaborations, and innovative campaigns across platforms, resulting in increased brand awareness and engagement.

(4) Uses AI-driven personalisation for product recommendations and customer service. It uses big data for targeted marketing and understanding consumer preferences.

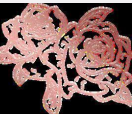
These brands have a more established presence and wider use of innovative technologies in their marketing strategies than Ellesse. They are early adopters of these advances, effectively utilising them to engage consumers and strengthen their brand position. Ellesse may need to intensify its efforts and innovation in these areas to compete more effectively.

ELLESSE'S CURRENT TARGET CUSTOMERS, CONSUMER SEGMENTATION AND CONSUMER PAIN POINTS



TARGET CUSTOMERS

The target market for ellesse is mainly young, trendy and energetic consumers, especially teenagers and young adults.



PEN PORTRAIT

Gender: Female or Male
Geography: Global, mainly urban, but also suburban, rural areas
Age: 15-40
Income: Middle or upper middle income group
Personality: Sports and fashion enthusiasts with a vibrant and creative lifestyle and a strong social media following.
Likes: Likes fashionable sportswear with a focus on comfort and functionality; likes variety in design and brand culture; likes to follow social media and shop both online and offline.
Dislikes: Dislikes products that lack personality and innovation; Dislikes low-quality, uncomfortable, and non-durable products; Dislikes poor shopping experience or poor service shopping environment.

Pen portrait(Authors own,2023)

CONSUMER SEGMENTATION

1. Youth who like casual sports

Characteristics:Generation Z and Millennials have their own dressing style, prefer fashionable casual items to reflect their unique taste, and are keen to share their lives.

Motivation:They are less brand loyal and more interested in the fashionable look of the product, to create an outstanding online and offline shopping experience for them. (WGSN, 2023)

2.Athletes

Characteristics: They are keen to participate in all kinds of sports, such as skiing, playing tennis, etc. They like social or outdoor activities, and enjoy adventures.

Motivation: They value the functionality of sports products and cost-effectiveness. (WGSN, 2023)

3. Home office workers

Characteristics:Their consumer lifestyle is home office, social media and e-commerce. They prefer products that are easy to wear and comfortable.

Motivation:Their main consumption channel is online, and they want to have a simple and convenient consumption experience. (WGSN, 2023)

CONSUMER PAIN POINTS

- (1) Preference for fashionable products: Consumers are becoming more and more inclined towards fashionable clothing, and sportswear needs to be fashionable too.
- (2) More value for money: Consumers are likely to favour products that offer better value for money.
- (3) Unsatisfied personalisation needs: Some consumers want to find products that meet their individual needs, and the products or services offered by Ellesse are not personalised.
- (4) Inconvenient shopping experience: The experience of shopping online or offline may not be convenient, for example, the website or app does not operate smoothly, the offline shop is not well laid out or the service is not good.
- (5) Low brand recognition: Ellesse's low brand awareness compared to other competing brands may result in a lack of consumer awareness of its quality and style.
- (6) Lack of social interaction: If Ellesse is not very interactive on social media, consumers may feel a lack of engagement and opportunity to interact with the brand.

CONSUMER PUSH+PULL FACTORS (KEY DRIVERS IN THE SPORTSWEAR INDUSTRY)



Push Factors

Company culture: Ellesse's company culture focuses on innovation and creativity, creating a great shopping experience for consumers, and sustainability.

Environmental factors: Virtual technology, social media, AI, big data and live streaming are on the rise.

Consumer demands and lifestyle changes: Consumers are more likely to shop online, engage more with social media, and are more immersed in the shopping experience, preferring a more interactive approach.

The need to be viewed as an international brand keeping in pace with the competition: Competitive brands such as Nike and Adidas are gradually developing virtual fashion, virtual fitting rooms, virtual gaming spaces, and creating virtual flagship shops for their brands, for example through the "Nike Fit" app. Nike, Adidas and other competitors are gradually developing virtual fashion, virtual fitting rooms, virtual gaming spaces, creating branded virtual flagship stores, etc., for example, through the "Nike Fit" app's AR technology, etc. to create an immersive shopping experience for consumers.

Continued innovation present within the market/competitors: Among sports brands, virtual technology, social media, AI, big data, and live streaming are among the most avant-garde technologies in the industry, allowing them to maintain their position as industry leaders in innovation.

Pull Factors

Recognition of potential of technology: Brands in the sports industry are already adopting all kinds of technologies such as virtualisation, social bodies, AI, big data and live streaming, and are reaping some of the benefits. For example, Nike celebrated its 50th anniversary with an in-store AR experience. (Melnick, 2022) Another example is Nike's purpose-built virtual space, Nikeland, which uses the Roblox platform to allow fans to meet, socialise, take part in promotions and engage in the full range of brand experiences, and since its launch in November 2021, seven million visitors have spent time in Nikeland. (Marr, 2023)

Consumer demands/needs (payment preferences): Ellesse needs to keep up with consumer demands as consumers are more concerned about online shopping, immersive shopping experiences, personalisation, fast payments and sustainability.

More efficient supply chain management More efficient supply chain management: As the sports industry has largely adopted digital supply chain management, Ellesse needs to optimise its supply chain to achieve more efficient production and distribution, shorter lead times, lower inventory costs, and increased flexibility in responding to market demand.

Increase competitive advantage : Ellesse needs to stand out from the competition in the sports industry, where there are many well-known brands such as Nike and Adidas. As a fashion sports brand, Ellesse needs to keep innovating in fashion, otherwise it may lose the attention of consumers. Ellesse will gain more competitive advantage if it can use various technologies to improve the quality of products, customised services and customer experience.

Inhibitors – What could potentially present a challenge?

- (1) Consumer privacy needs to be protected when using big data technologies to avoid privacy breaches.
- (2) Over-reliance on technology may lead to a loss of real contact and experience with customers, resulting in a disconnect with consumers.
- (3) New technologies may be subject to malfunctions, leading to risks such as disruption of the consumer's online shopping experience.
- (4) Social media can also bring negative comments and reputational risks, requiring the establishment of effective social media management strategies.

Barriers– What do we need to overcome?

- (1) The introduction of new technologies requires substantial investment in terms of manpower, capital and technical equipment, which may increase the company's expenditure and costs.
- (2) The introduction of new technologies requires staff to receive relevant training and education to familiarise them with the new systems and technologies.

Consumer push+pull factors
(By Author's Own)



Strength

SWOT ANALYSIS AND BRAND PAIN POINTS

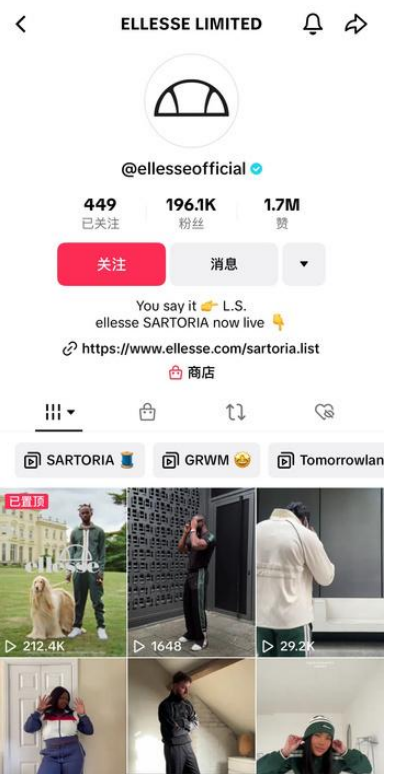
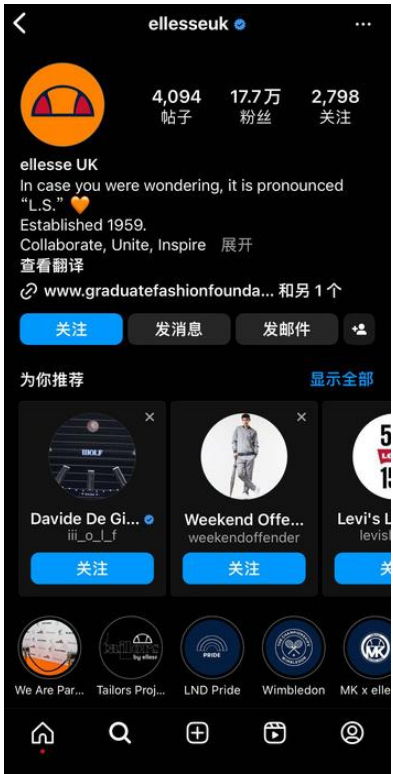
- (1) The brand has a clear positioning and a long history, from being synonymous with skiing and tennis to being committed to being the most fashionable sports brand, all of which differentiates the brand from its competitors and gives it a competitive advantage as well as visibility.
- (2) The products are cost-effective, in a reasonable price range, and are of high quality and have a unique design that is stylish.
- (3) Better marketing strategy, active co-operation with the sports sector and active development of social media, such as having its own social media accounts Ins, TikTok, Facebook and Twitter, etc., and often organising a series of marketing activities on social media.
- (4) Adhering to the concept of sustainability and responding to the trend of public concern for the environment, e.g. Ellesse donates greens to In Kind Direct and distributes items to charitable organisations across the UK, including community projects, child/teenage care and family welfare, to provide warmth and protection and support for their health and well-being. (Pentland, 2022)

Weakness

- (1) The brand is recognised, but not highly. Compared with other competitors, such as Nike, Adidas, etc., Ellesse's market share and awareness is not very high, and it needs more brand promotion and marketing.
- (2) The brand has not done enough in online shopping, consumers are more and more inclined to online shopping, while the brand's online shops and services, etc. are not yet in place. And there is no offline flagship shop, online app, etc., online sales rely on the official website, other platforms and so on.
- (3) Weak global influence, compared with competitors such as Nike, Adidas, etc., more international market expansion is still needed.
- (4) The brand's marketing promotion and influence on social media is not enough, and the operation is confusing. Because with the rise of social media, consumers get more information from social media.
- (5) Brands have not made enough breakthroughs in emerging technologies, such as the use of virtual technology, social media, AI, big data, and live streaming to improve product quality, customised services, and customer experience.



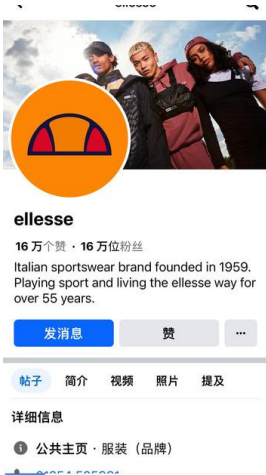
(Instagram, 2023)



(TikTok, 2023)



(Twitter, 2023)



(Facebook, 2023)



Opportunities

SWOT ANALYSIS AND BRAND PAIN POINTS



- (1) Using digital technologies to grow the brand. For example, using various types of technology such as virtual technology, social media, AI, big data, and live streaming, Ellesse has the opportunity to expand its channels, increase interaction with consumers and sales, and make the customer experience better.
- (2) Developing online shopping as well as opening more shops globally to expand sales channels.
- (3) Consumers are becoming more and more focused on the shopping experience, using new media and other promotional marketing, and big data and other means of identifying and following up on customer needs to obtain more accurate customer information.
- (4) Consumers may prefer comfortable sportswear for daily wear, and with the popularity of fitness sports, more and more people will buy sportswear.
- (5) Follow the trend of sustainability. Brands can enhance environmental awareness and launch sustainable products to attract more environmentally conscious consumers.

Threats

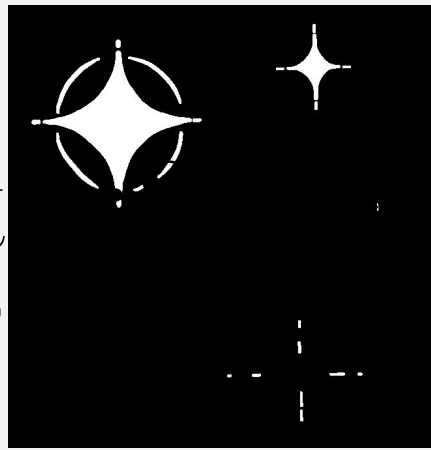
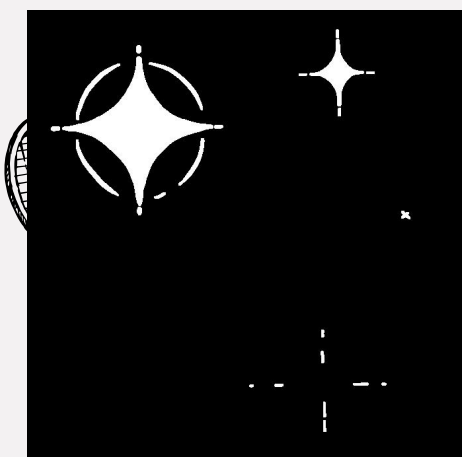
- (1) Competition in the sports industry is intense, and the fierce competition from large brands such as Nike and Adidas, as well as emerging brands such as Lululemon, their use of emerging technologies, and their progressive and updated marketing strategies may pose a threat to Ellesse.
- (2) Compared to large brands such as Nike and Adidas, Ellesse's product range is less complete and consumers have fewer choices.
- (3) Changes in consumer demand as well as behavioural patterns, online shopping, customer customisation and customer experience need to be enhanced accordingly.
- (4) With the new crown epidemic as well as war, the world economy is declining and people's income is falling, they may reduce their consumption and thus opt for more cost-effective brands.
- (5) Supply chain and logistics threats. With factors such as wars, the costs of labour and logistics are rising and the supply chain may sometimes even be disrupted or delayed.
- (6) There may be some counterfeit products which may affect the reputation of the brand and customer loyalty.

Key Brand Pain Points

SWOT Analysis
(By Author's Own)

- (1) In terms of products, the brand does not have more innovative products and lacks attraction.
- (2) In terms of sales channels, the brand does not have its own flagship shop offline and does not open enough shops globally; it does not have its own shopping app online, but only the official website and third-party resellers.
- (3) In terms of marketing, the brand's social media account management is chaotic, and the social media marketing campaign is not enough.
- (4) In terms of consumer demand, the brand lacks the use of various types of digital technology. Brands did not use virtual technology, AI, VR, etc. to enhance customers' immersive shopping experience; did not use big data to obtain customer information and provide personalised recommendations; and did not use technologies such as live streaming and robo-chat to give customers one-on-one answers to their questions, etc.
- (5) In terms of brand loyalty, brands lack feedback and community discussions.





Part 1: Introduction to the Project
Part 2: The Project's Purpose and Goals
Part 3: The Project's Scope and Objectives
Part 4: The Project's Timeline and Milestones
Part 5: The Project's Budget and Resources
Part 6: The Project's Risks and Challenges
Part 7: The Project's Conclusion and Next Steps



STEIP——Social MACRO ENVIRONMENTAL DRIVERS—STEIP

Key Factors:

Consumers are more inclined to fashion trends: Generation Z has easier access to information on fashion trends, celebrity attire, brand promotions, and fashion events, and is more likely to be influenced by fashion trends as they want to show off their taste and unique style through clothing.

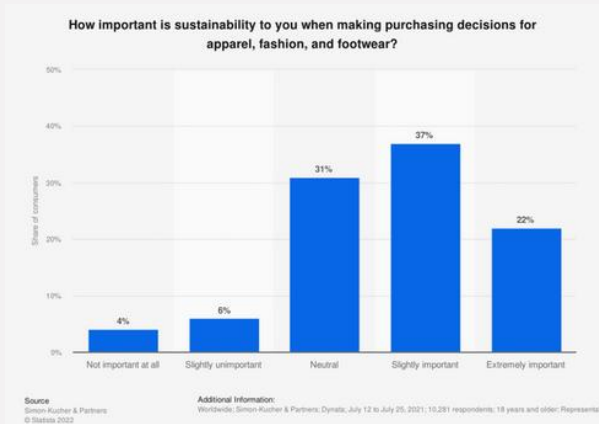
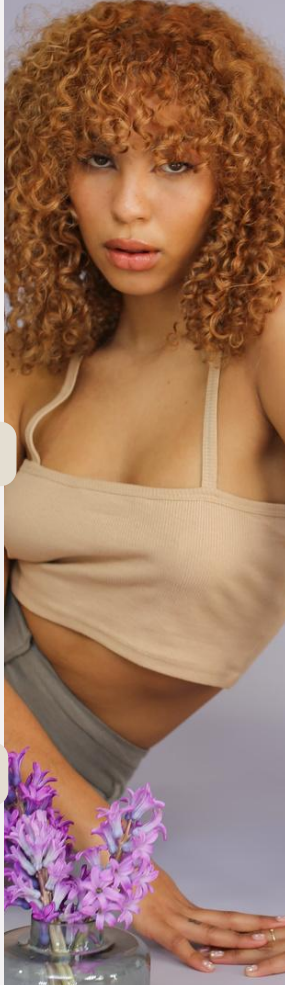
Home Leisure, Social Health and Sports Trends: As the focus on home leisure and healthy sports increases, so does the demand for sports equipment and comfort. During the development of the New Crown epidemic, people were more at home as travelling and socialising were affected, gradually shifting to comfortable, casual at-home wear, which is now becoming a trend. And with indoor and outdoor sports now popular, skiing, camping, fitness, and running are also becoming net popular sports, and people's demand for sports and casual clothing is increasing. (WGSN, 2022)

SUSTAINABILITY: Consumers are increasingly favouring sustainable consumption. a 2020 World Economic Forum survey found that 86 per cent of 21,000 respondents in 28 countries want to see more sustainable and fairer products in the post-outbreak market. And according to a report by the IBM Institute for Business Value 2020, six in ten consumers are prepared to change their purchasing behaviour to minimise their environmental footprint.WGSN's analysis shows that sustainability remains a key priority for consumers, who are looking to companies to make changes, and many are willing to take action and participate in the rebuilding of a better world with the brands of their choice! . (WGSN, 2021)

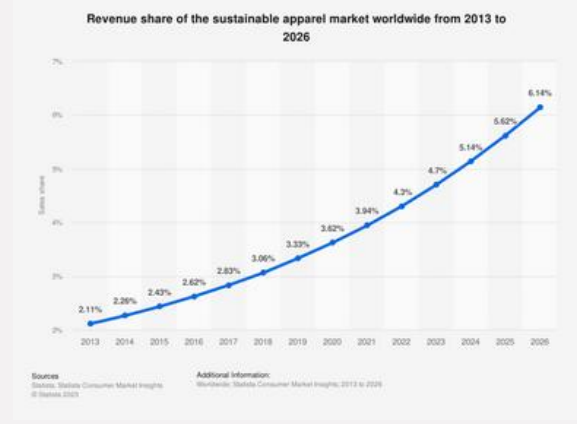
Increased demand for consumer experiences: consumers are increasingly favouring shopping environments and experiences that are novel, immersive and fast.Emma Watkinson, CEO of SilkFred, noted, "In today's fast-paced fashion world, customers want to find unique and stylish clothing quickly, and utilising the latest AI technology can provide our customers by creating a seamless and personalised shopping experience for them to quickly find clothes they love." (Mintel, 2023)

Strategic Inferences for Ellesse:

- (1) **In line with fashion trends**, Ellesse can create virtual fashion collections and conduct a series of virtual fashion shows, personalised fashion customisation, all conducive to brand fashion.
- (2) **In line with the sustainable development trend**, virtual fashion can reduce the carbon footprint, no clothing production consumption, no clothing transport packaging, truly sustainable.
- (3) **Consumers want novel, immersive and fast shopping experience**, Ellesse can use big data to accurately obtain consumer demand, use AI to make accurate recommendations to consumers, use VR technology to let consumers try on clothes, use robot chat and live broadcasting to answer consumers' doubts in real time, and use the virtual space community to allow consumers to give feedback.



How important is sustainability to you when making purchasing decisions for apparel, fashion, and footwear? (Statista, 2021)



Revenue share of the sustainable apparel market worldwide from 2013 to 2026(Statista, 2023)



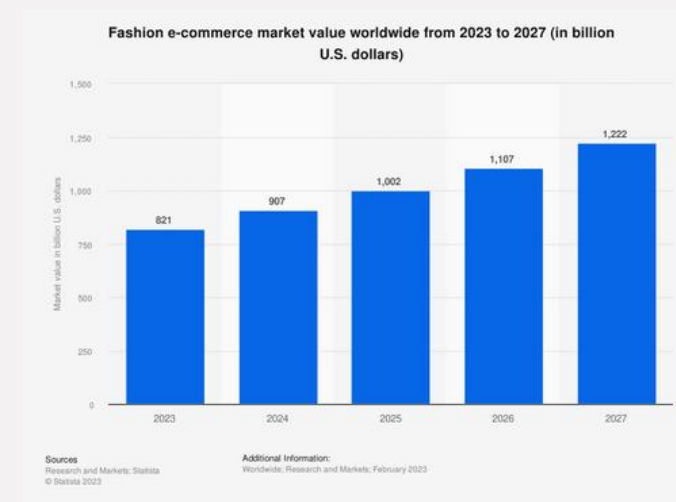
STEIP —Technology MACRO ENVIRONMENTAL DRIVERS—STEIP

Key Factors:

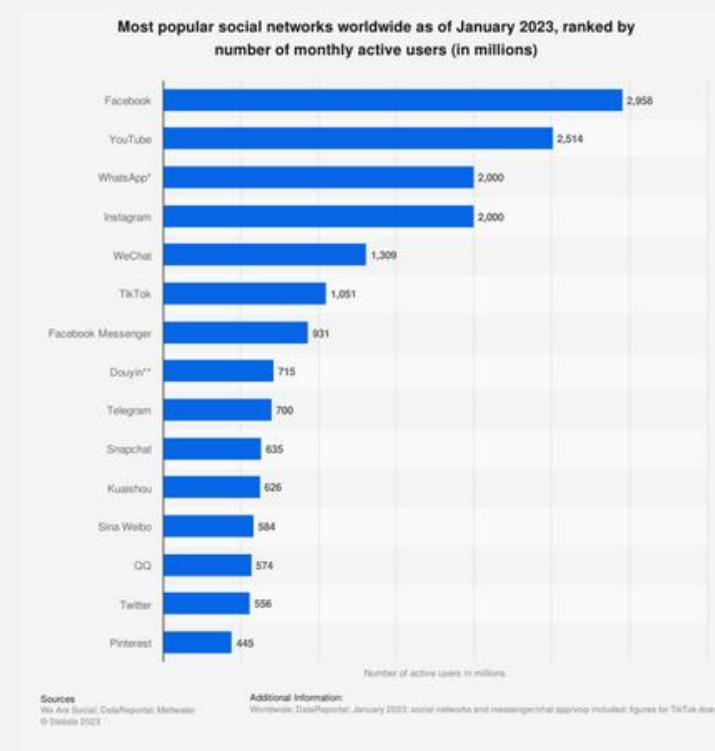
Mobile phones are smart and e-commerce is growing: the permanently online Generation Z increasingly prefers to shop online on their mobile phones. The knock-on effects of the cost of living crisis, sustainability issues and expanded digital channels have led to a booming online re-trade sector. (WGSN, 2023) The global fashion e-commerce market is expected to reach over \$820bn in 2023. By 2027, it could be just over \$1.2 trillion. Of the major segments of fashion, apparel accounts for the majority of consumer purchases online, but accessories and footwear still account for a significant portion of the global online fashion market revenue. (Statista, 2023)

Social media: the permanently online Gen Z spends time bouncing between social media platforms and gaming sites. The epidemic has even accelerated Gen Z's adoption and use of digital media, leading them to adopt new habits. They flocked to platforms such as TikTok, Instagram, Facebook, Twitter, etc., and Jitterbug has evolved into a digital planet shared by a billion people. A study in the US found that 92 per cent of Gen Z multitask while using the internet: 59 per cent browse online while eating, 59 per cent while listening to music, and 45 per cent while talking on the phone while on a call. To connect with Gen Z, understanding how different platforms, from TikTok to games like Fortnite and Roblox, are being used as entertainment and social spaces is key to winning their attention. (WGSN, 2023)

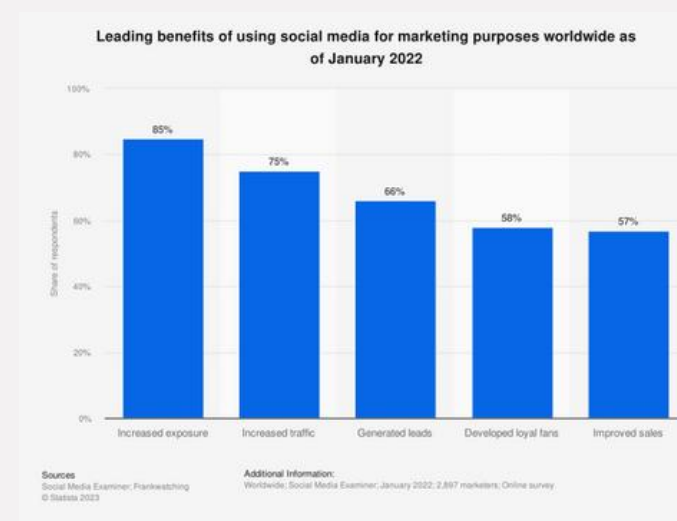
VIRTUAL REALITY (VR): The metaverse could be worth \$1.3 trillion by 2030, according to analysis in a report in WGSN. If DE&I is prioritised in the virtual space, by 2026, companies have a chance to win over the 25% of people who will spend at least an hour a day in the metaverse. And a number of sports brands are also making inroads into the virtual space. (Cassandra Napoli & WGSN Insight, 2023) For example, in January this year, Anta created the "Anta Ice & Snow Spiritland" immersive and interactive digital space, and debuted the 2022 limited edition high-energy Ice & Snow NFT digital collection, which includes uniforms for the 12 teams that Anta has helped to create for China's Ice & Snow national team, as well as two mysterious commemorative digital collections. and 2 mysterious commemorative digital collectibles. (WGSN, 2022)



Fashion e-commerce market value worldwide from 2023 to 2027 (in billion U.S. dollars) (Statista, 2023)



Most popular social networks worldwide as of January 2023, ranked by number of monthly active users (in millions) (Statista, 2023)



Leading benefits of using social media for marketing purposes worldwide as of January 2022 (Statista, 2022)



STEIP —Technology

MACRO ENVIRONMENTAL DRIVERS—STEIP

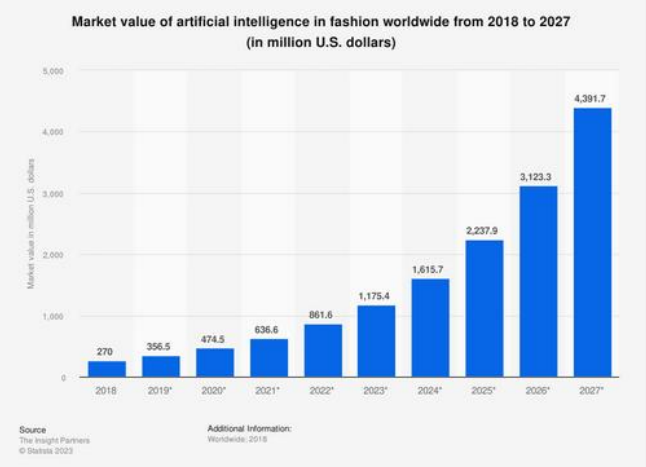
Key Factors:

AI development: it is becoming increasingly common for the fashion industry to leverage AI. ai can analyse consumer purchase history, preferences and behavioural patterns to provide personalised merchandise recommendations, increase sales and enhance customer experience. It also optimises inventory management, forecasting demand and supply chain processes, reducing inventory costs and improving delivery efficiency.The global fashion market for AI reached USD 270 million in 2018 and is expected to grow at a CAGR of 36.9% during the forecast period from 2019 to 2027, reaching USD 4.4 billion by 2027. (Statista, 2022)

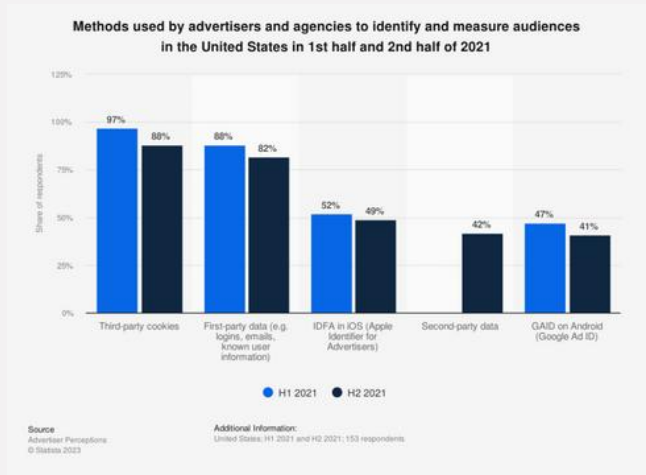
Big Data: The fashion industry is increasingly utilising big data analytics. Analysing consumers' purchase history, preferences, browsing patterns and social media activities through big data helps companies understand consumer preferences and predict demand. Personalised recommendation systems based on big data analytics can also be carried out to recommend products to customers that match their preferences and style, increasing sales conversion rates. The big data analytics market is expected to be worth more than \$65.5 billion by 2029, up from \$241 billion in 2021. (Statista, 2023)

Chart.

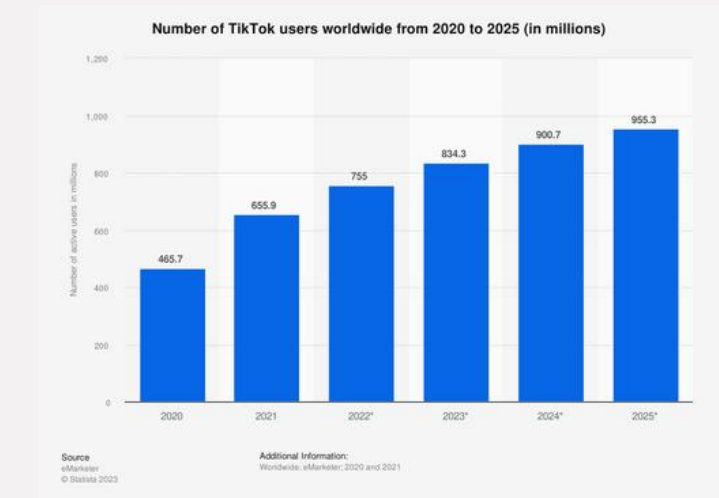
LIVE STREAMING: Live streaming of explanations as well as shopping has increasingly become a trend. After hitting a peak in 2020 during the global New Crown Pneumonia outbreak, video consumption has normalised. in the third quarter of 2022, live streaming platforms collected around 7.2 billion hours of content viewing. And users seem to have more confidence in the format, with 40 per cent of marketing managers and directors expecting 40 per cent of the marketing campaigns they attend in 2022 to be entirely virtual. More than 52 per cent of global users would be interested in using real-time branded content, according to research from TikTok. (Statista, 2023)



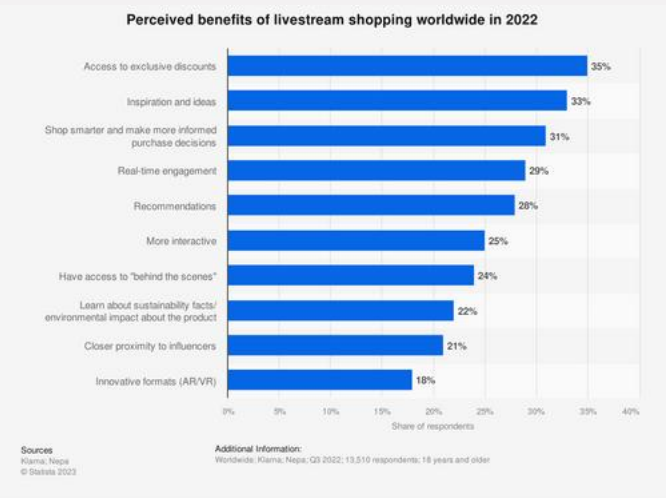
Market value of artificial intelligence in fashion worldwide from 2018 to 2027 (in million U.S. dollars) (Statista, 2022)



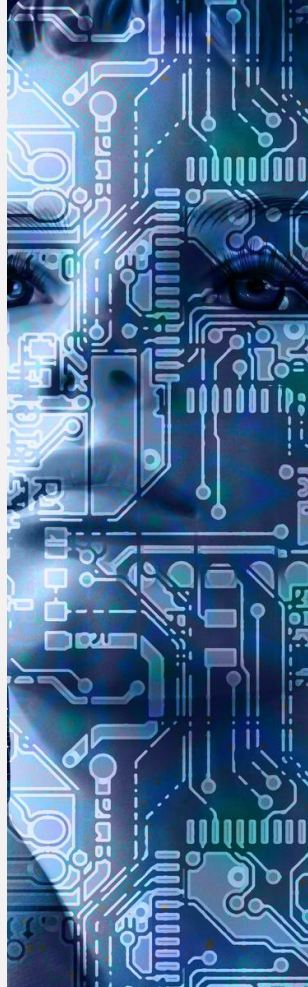
Methods used by advertisers and agencies to identify and measure audiences in the United States in 1st half and 2nd half of 2021(Statista, 2021)



Number of TikTok users worldwide from 2020 to 2025 (in millions) (Statista, 2020)



Perceived benefits of livestream shopping worldwide in 2022 (Statista, 2022)

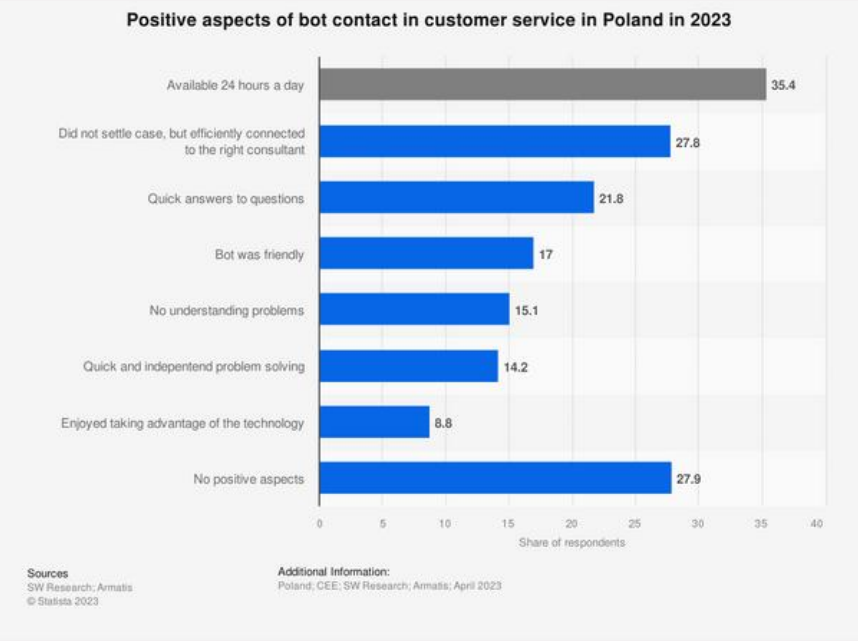




STEIP —Technology MACRO ENVIRONMENTAL DRIVERS—STEIP

Key Factors:

Chatbot: With the development of robo-chat, customers are increasingly interested in chatting with robots while shopping.Chatbot can provide round-the-clock customer service to answer common questions, such as order enquiries, product information, and return and exchange policies, to help consumers solve their problems, and to enhance the timeliness and usability of the service.Chatbot can also provide shopping suggestions based on consumers' needs and styles to help customers make better product choices.



Positive aspects of bot contact in customer service in Poland in 2023 (Statista, 2023)



Strategic Inferences for Ellesse:

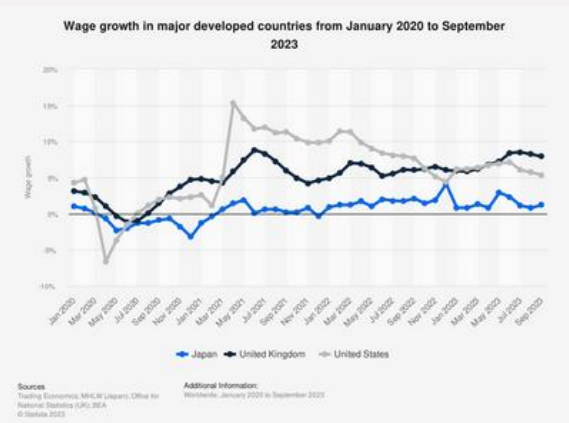
- (1) **Using e-commerce**, Ellesse could develop online channels, not only having its own official website and selling through third parties, but also creating its own app to sell.
- (2) **Using social media**, Ellesse can promote its products through bloggers on various social media apps, and it can also co-operate with social media accounts in the sports world. And Ellesse allows consumers to give feedback on social media.
- (3) **Using virtual VR technology**, Ellesse can create virtual fashion collections and conduct a series of virtual fashion shows, personalise virtual fashion customisation, offer virtual fittings, create virtual spaces, develop virtual games and more.
- (4) **Using AI technology**, Ellesse can use AI to make accurate recommendations to consumers, provide personalised product recommendations, increase sales and improve customer experience.
- (5) **Leveraging big data**, Ellesse can use big data to analyse consumers' purchase history, preferences, browsing patterns and social media activity, and to personalise recommendations, suggesting products to customers that match their preferences and styles, increasing sales conversion rates.
- (6) **Using live streaming**, Ellesse can provide product explanations next to the product to try on live links, etc., and conduct regular live broadcasts to give out discounts, answer real-time answers to consumer queries, etc.
- (7) **Using Bot Chat**, Ellesse can provide a bot chat function in the shopping interface, allowing consumers to get instant customer service and product information.



STEIP — Economic MACRO ENVIRONMENTAL DRIVERS—STEIP

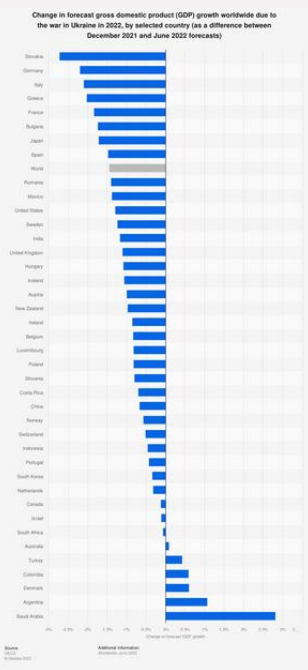
Key Factors:

Global Economic Decline, Consumer Income Slump, Consumption Downgrade: Since 2020, the world has experienced two crises that have had a huge impact on the global economy. First, as the coronavirus (COVID-19) began to spread that year, companies and shops around the world were forced to close, leading to a global recession. Then, as the economy slowly began to recover from the effects of the new coronavirus, Russian President Vladimir Putin decided to invade Ukraine in February 2022, which led to a rise in inflation. In 2021, approximately 214 million people were unemployed worldwide. The economic downturn has led to no growth in people's incomes and a downgrading of consumption. (Statista, 2023)



Wage growth in major developed countries from January 2020 to September 2023 (Statista, 2023)

Global War Turbulence: On 24 February 2022, Russia invaded Ukraine. The Russia-Ukraine conflict led to an energy crisis, supply chain disruptions, inflation, and other crises. (Statista, 2023)



Change in forecast gross domestic product (GDP) growth worldwide due to the war in Ukraine in 2022, by selected country (as a difference between December 2021 and June 2022 forecasts) (Statista, 2023)

UK exits EU, changes PM, Queen: Brexit reduces some consumer confidence, with 33 per cent believing it will cause a crisis in the cost of living. And on 5 September 2022, PM Liz Truss was inaugurated as the UK's next Prime Minister at a time when the country was facing a cost of living crisis, industrial unrest and recession, and introduced a controversial tax cut plan that Truss insisted would boost the economy but threw financial markets into turmoil. Her short and tumultuous tenure was marked by the death of Queen Elizabeth II. (Al Jazeera, 2022)



British Prime Minister Liz Truss attends a news conference in London, UK (Al Jazeera, 2022)

Strategic Inferences for Ellesse:

- (1) Ellesse can increase online sales to counter the effects of epidemics, wars, etc.
- (2) Ellesse can create more cost-effective, sustainable products to counter the downgrading of consumption.





STEIP — Industry

MACRO ENVIRONMENTAL DRIVERS—STEIP

Key Factors:

Digital transformation: most of the headline sports brands are starting to leverage brand digitisation, using technologies such as online sales, social media, AI, VR, big data, live streaming, and robo-chat. For example, in February 2022, sportswear giant Nike invited shoppers to experience its interactive multi-sensory weather simulator at its House of Innovation shop in Paris. Shoppers could also share their social experience by scanning a QR code to access a recording. (WGSN, 2022)

Strategic Inferences for Ellesse:

Ellesse can set up digital systems and focus on the virtual digital segment, using technologies such as online sales, social media, AI, VR, big data, live streaming and robo-chat to gain a competitive advantage.



STEIP — Policy

Consumer Privacy Protection: The UK updated its Data Protection Act in 2018 to limit and regulate regulations on the collection of customer information by retailers. (GOV.UK, 2018)

Trade Barriers, Increased Tariffs: Brexit has resulted in barriers to trade between the UK and the EU, increasing the cost of imported goods.

Strategic Inferences for Ellesse:

Ellesse can continue to improve its big data management system to protect consumer privacy and reduce costs by mass-producing clothes based on consumer demand.

Ellesse can create virtual fitting rooms and reduce shipping barriers.



CONSUMER DRIVERS

Consumer behaviour

Increased online shopping: With the popularity of digitalisation and e-commerce, consumers are more inclined to shop online, especially younger consumers, who are more likely to purchase products through websites or mobile apps.

Multi-Channel Shopping: Consumers tend to shop across multiple channels and may browse products online, then visit an offline shop to try them on and buy them, or vice versa.

Consumer demand

Increased demand for personalisation and customisation: Consumers want more personalised products and services, such as clothing or footwear that can be customised. As a result, Ellesse is likely to focus on providing customisation options to meet consumers' individual needs.

Brand Transparency and Sustainability: Consumers are interested in the social responsibility of brands and are more inclined to support brands that focus on environmental protection, sustainability and social responsibility.

Consumer Motivations

Health and Sport: Consumers are becoming more health and fitness conscious and therefore demand for sports brands has increased accordingly. They may be more inclined to purchase products that cater to both sporting and fashionable needs.

Social Media and Influencers: The popularity of social media has had an impact on consumers' purchasing decisions, with younger consumers in particular being more susceptible to influences on social media.

Consumer Lifestyle

Casual and Comfortable: Consumers are increasingly looking for casual and comfortable clothing, especially as work and lifestyle changes lead to more casual styles of clothing.

Digital Lifestyle: Consumers are increasingly relying on a digital lifestyle and are looking for more convenience and personalised services through digital technology.



PART ✨ 4

RECOMMENDATIONS+CONCLUSION

SHORT-TERM, MEDIUM-TERM AND LONG-TERM DEVELOPMENT GOALS

Short-term goals:

Product innovation: release virtual fashion series, high-end virtual collection series and virtual fashion personal customisation to lead the fashion trend and attract more consumers.

Marketing Improvement: Hold virtual fashion shows, make the audience immersive through VR technology, fashion bloggers display virtual fashion on social media, support various sports events and integrate virtual game IP characters, use big data analysis to accurately push personalised emails, increase brand exposure and consumer participation.

Online shopping experience: establish an exclusive APP, add virtual fashion, virtual games and virtual community boards, provide virtual try-on function and live explanation, increase consumer interaction.

Offline experience: realise offline AR virtual experience to provide consumers with a more vivid shopping experience.

Mid-term goals:

Social influence: through social media and the dissemination of virtual fashion collections, form a unique brand community and lead the virtual fashion trend.

Consumer Interaction: Build a virtual community to promote user communication and feedback and enhance consumer engagement.

Points rebate: establish a virtual coin points system to encourage users to share and participate after purchase, and increase user stickiness.

Long-term goals:

Brand internationalisation: break through the time and space constraints with the help of virtualised marketing strategies to further develop the global market.

Digital image: Use digital technology and dynamic images to change the brand image and inject the concept of sustainable development to enhance brand recognition and sustainable image.

Consumer Loyalty: Increase consumer loyalty and establish a long-term stable consumer base through innovative shopping experiences and feedback mechanisms.

Ellesse's short-, medium- and long-term goals are to achieve brand growth, international development and consumer loyalty through digital transformation and innovation in order to adapt to the changes of today's digital era.



ADVISES SUMMARISE:

The process of innovation is divided into three areas:

1. before the customer buys (product improvement with the addition of three new types; marketing improvement with the development of four new types of marketing)
2. During customer purchase (online, offline)
3. After customer purchase (after purchasing virtual clothing, after purchasing real clothing)

1. Before the customer buys

(1) Product improvement (add 3 new types):

Release of virtual fashion collection.

High-end virtual collection line.

Virtual fashion personalisation.

(2) Marketing Improvement (Develop 4 new types of marketing):

Organise virtual fashion shows where the audience can watch the fashion show with VR eyes.

Fashion bloggers try on virtual fashions on social media.

Supporting various sports events and using IP characters from virtual games as mascots for tennis tournament ambassadors to attract consumers and add a new brand image.

Use big data analysis to accurately push personalised emails.

2. During the customer purchase process

(1) Online

Create an exclusive APP and add three sections for designing virtual fashion columns, virtual games and virtual communities.

Customers can dress up in virtual games and break through levels to get virtual coins, which can be used for cash deduction.

You can click on the link next to the product to play back the product live explanation, and at the same time, there are irregular live broadcasts, randomly issued discount coupon activities.

Set up 24h online robot chat, you can ask the robot some basic questions.

Add a virtual try-on function, so that customers can feel the effect of the upper body at home.

(2) Offline

Conduct offline AR virtual experience

3. After the customer purchases

(1) After purchasing virtual clothes:

Customers, especially virtual bloggers, can post photos on social media wearing virtual fashion series and personal customised virtual fashion, setting off a virtual fashion trend.

Customers can communicate and give feedback in the virtual community.

(2) After purchasing real clothes:

Get virtual coin points. Customers can use them in virtual games or convert them to cash credit in their next shopping.

Pre-purchase ———PRODUCT IMPROVEMENTS (ADD 3 NEW TYPES)

NFT

DIGITAL FASHION HAS FOLLOWED THE CRAZE FOR IRREPLACEABLE TOKENS (NFT) - DIGITAL ASSETS LINKED TO A BLOCKCHAIN LEDGER THAT PROVIDE BUYERS AND SELLERS WITH PROOF OF OWNERSHIP AND PROVENANCE. NFT IS A PURELY DIGITAL ITEM THAT CAN BE TRADED LIKE A REAL-LIFE ARTEFACT. IN THE FASHION INDUSTRY, THIS HAS CREATED A MARKETPLACE WHERE SHOES AND DRESSES THAT EXIST ONLY AS DIGITAL FILES ARE SOLD AT FASHION PRICES.

FASHION BRANDS CAN RELEASE THEIR OWN VIRTUAL FASHION COLLECTIONS.

IN 2018, FOR EXAMPLE, CLOTHING BRAND CARLINGS RELEASED A COMPLETELY VIRTUAL CLOTHING LINE AND EXPERIENCED A BOOM IN BUSINESS DURING THE COVID-19 PANDEMIC. GUCCI, FOR EXAMPLE, DOESN'T JUST DESIGN PHYSICAL PRODUCTS, BUT ALSO VIRTUAL CLOTHES, SHOES AND ACCESSORIES THAT EXIST ENTIRELY IN THE DIGITAL REALM. IT CREATED DIGITAL VERSIONS OF ITS LATEST COLLECTION OF FASHION-THEMED VIDEO GAMES, SPORTSWEAR FOR A POPULAR TENNIS GAME, AND VIRTUAL LOOKS FOR ONLINE AVATARS.

PERSONALISED VIRTUAL FASHION IS ALSO POPULAR. GUCCI, FOR EXAMPLE, HAS LAUNCHED A PLATFORM THAT LETS USERS DESIGN VIRTUAL TRAINERS AND THEN PUT THEM ON THEIR FEET USING AUGMENTED REALITY.

HIGH-END VIRTUAL COLLECTIONS ARE ALSO POPULAR. ANYONE WHO HANGS OUT ON THE ROBLOX ONLINE GAMING PLATFORM, FOR EXAMPLE, IS LIKELY TO ENCOUNTER OTHER AVATARS WEARING GUCCI HANDBAGS, SUNGLASSES OR HATS. THESE DIGITAL-ONLY ITEMS ARE PART OF ROBLOX'S LIMITED-EDITION GUCCI COLLECTION. (COMMETRIC, 2021)

AND ALL OF THESE EXAMPLES POINT TO THE NEED FOR ELLESSE TO DEVELOP VIRTUAL FASHION AND DEVELOP ITS OWN NFT, WHICH WOULD BE A HUGE MARKET.



BASED ON THE ABOVE, ELLESSE CAN CONSIDER DEVELOPING THE FOLLOWING THREE NEW VIRTUAL PRODUCTS:

(1) PUBLISHING VIRTUAL FASHION COLLECTIONS. ELLESSE CAN PUBLISH ITS OWN BRANDED VIRTUAL FASHION COLLECTIONS TO ATTRACT CONSUMERS TO PURCHASE THEM.

(2) HIGH-END VIRTUAL COLLECTION: ELLESSE CAN ALSO RELEASE A HIGH-END VIRTUAL COLLECTION TO ATTRACT CONSUMERS TO PURCHASE THE COLLECTION.

(3) VIRTUAL FASHION CUSTOMISATION. CONSUMERS CAN CUSTOMISE THEIR OWN, OR ELLESSE CAN PURCHASE PERSONAL CUSTOMISED VIRTUAL CLOTHING FOR PEOPLE, PERSONALISED TAILORED VIRTUAL EXCLUSIVE CLOTHING, SO THAT CONSUMERS EXPERIENCE PERSONALISED SERVICE.

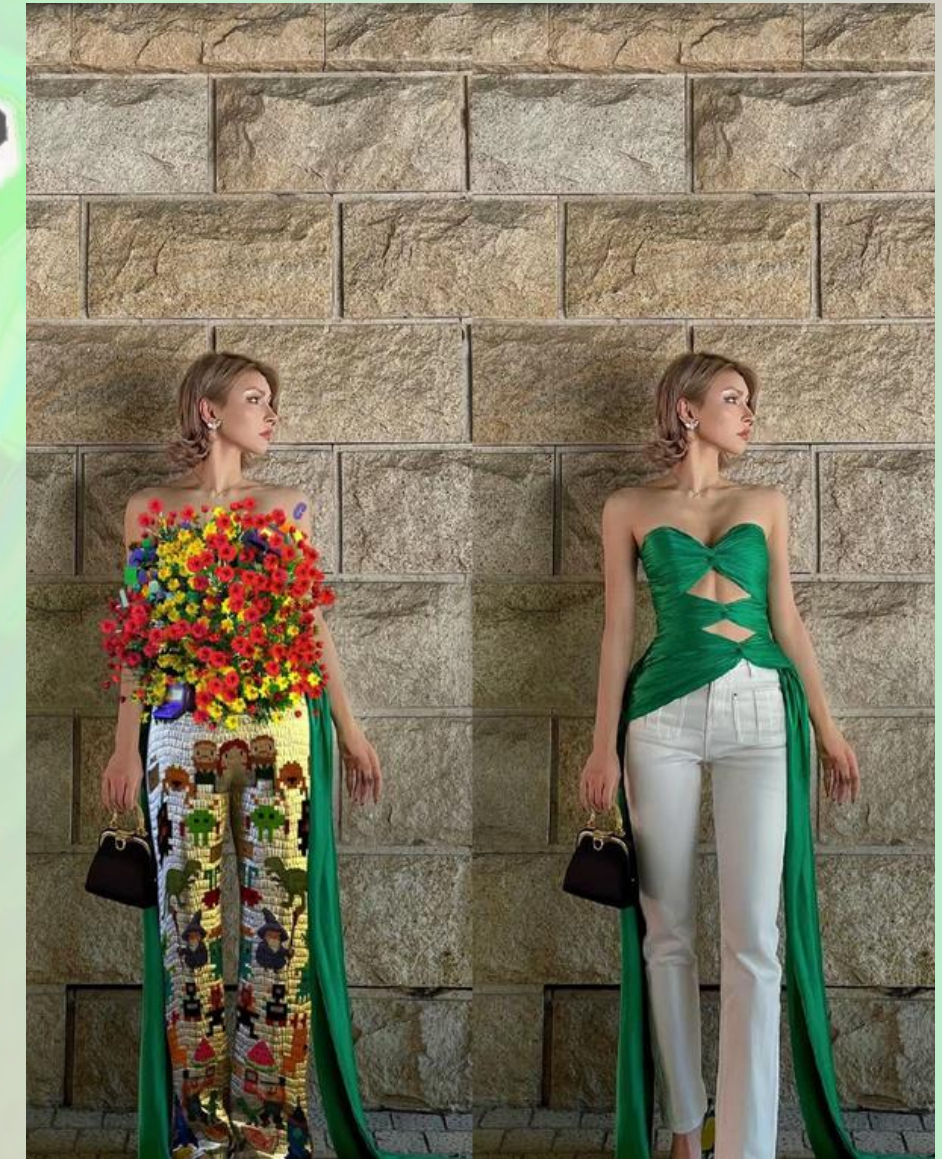
Pre-purchase



(1) ELLESSE CAN ORGANISE A VIRTUAL FASHION SHOW, SO THAT THE AUDIENCE CAN WEAR VR EYES TO WATCH THE FASHION SHOW IN AN IMMERSIVE ENVIRONMENT. THIS MARKETING TOOL IS NOVEL AND ATTRACTIVE TO CONSUMERS, AND IT IS ALSO FREE AND OPEN TO THE PUBLIC, WITH A LOW THRESHOLD, SO IT CAN BE A GOOD WAY TO PROMOTE YOUR BRAND.

FOR EXAMPLE, DECENTRALAND, A VIRTUAL REALITY PLATFORM, HAS LAUNCHED METAWORLD FASHION WEEK, A DIGITAL FASHION WEEK IN WHICH BRANDS, INCLUDING THE FABRICANT, WILL SHOWCASE NEW COLLECTIONS FROM 24 TO 27 MARCH IN METAWORLD. OVER THE COURSE OF FOUR DAYS, DECENTRALAND WILL HOST A SERIES OF RUNWAY SHOWS, AFTER-PARTIES, AND FLASH MOBS, WHERE BRANDS WILL SHOWCASE DIGITAL CLOTHING FROM AVATARS ON A VIRTUAL RUNWAY. UNLIKE MANY TRADITIONAL FASHION WEEKS THAT ALLOW ONLY INVITED GUESTS TO ATTEND, METAWORLD FASHION WEEK IS FREE AND OPEN TO ALL. USERS SIMPLY LOG IN TO THE BROWSER-BASED PLATFORM DECENTRALAND. (ALICE FINNEY , 2022)

MARKETING IMPROVEMENTS (DEVELOPMENT OF 4 NEW TYPES OF MARKETING)



(2) ELLESSE ALLOWS FASHION BLOGGERS TO TRY ON AND PROMOTE VIRTUAL FASHION ON SOCIAL MEDIA. FASHION BLOGGERS BRING THEIR OWN TRAFFIC, POSTING VIRTUAL TRY-ON ON SOCIAL PLATFORMS SUCH AS INSTAGRAM, TIKTOK, TWITTER, FACEBOOK, ETC., CAN EFFECTIVELY PROMOTE THE BRAND'S VIRTUAL FASHION, ATTRACT MORE CONSUMERS TO BUY, AND HELP INCREASE BRAND AWARENESS.

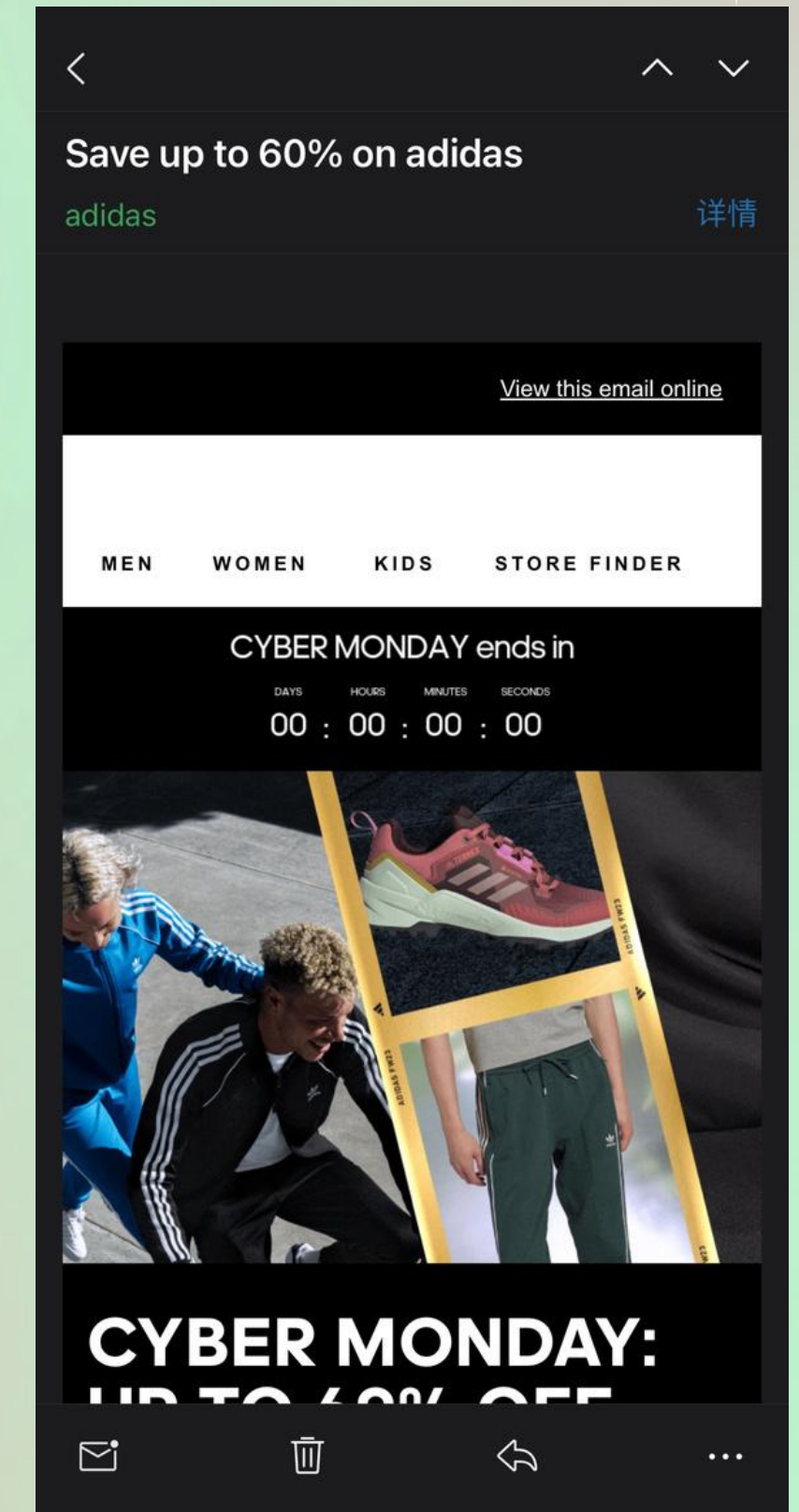
Pre-purchase

MARKETING IMPROVEMENTS (DEVELOPMENT OF 4 NEW TYPES OF MARKETING)

(3) ELLESSE CAN ATTRACT CONSUMERS AND ADD A NEW BRAND IMAGE BY SUPPORTING VARIOUS SPORTING EVENTS AND USING THE VIRTUAL GAME'S IP CHARACTER AS A MASCOT FOR TENNIS TOURNAMENT AMBASSADORS.



(4) ELLESSE CAN USE BIG DATA ANALYSIS TO ACCURATELY PUSH PERSONALISED EMAILS. BY ANALYSING CONSUMERS' PURCHASE HISTORY, PREFERENCES, BROWSING BEHAVIOUR AND OTHER RELEVANT DATA THROUGH BIG DATA, ELLESSE CAN BETTER UNDERSTAND CONSUMERS' NEEDS AND INTERESTS. EMAIL CONTENT CAN BE CUSTOMISED, E.G. TARGETING CONSUMERS' PREFERRED PRODUCTS, LATEST STYLES, DISCOUNTS OR PROMOTIONS. PRODUCT SUGGESTIONS AND CUSTOMISED RECOMMENDATIONS RELATED TO THEIR INTERESTS ARE ALSO PUSHED TO CONSUMERS. FOR EXAMPLE, SIMILAR STYLES OR RELATED ACCESSORIES CAN BE RECOMMENDED BASED ON PREVIOUS PURCHASES OR BROWSING HISTORY.



Customer buying process ————— Online

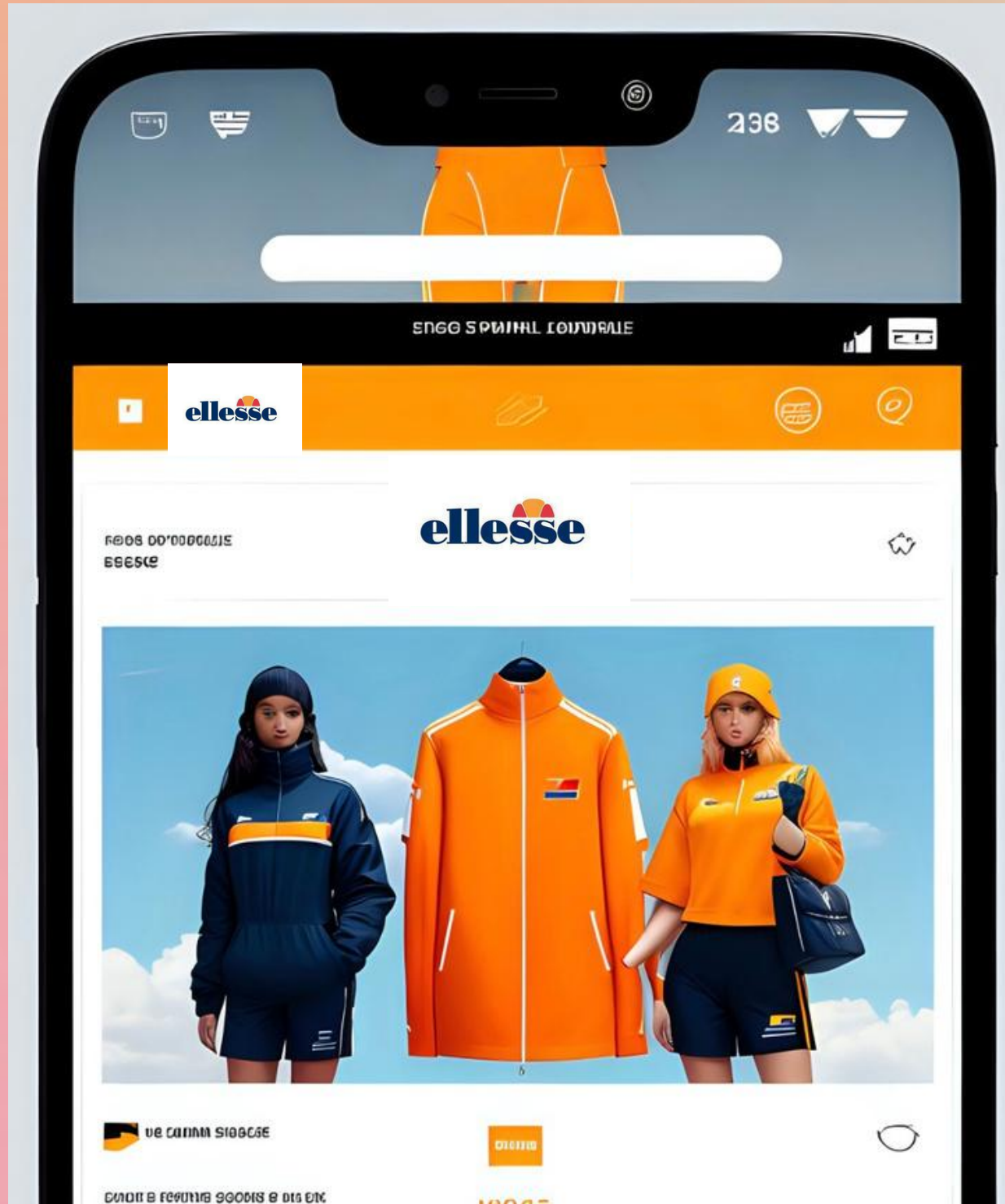
(1) ELLESSE CAN CREATE ITS OWN EXCLUSIVE APP

DESIGN: THE DESIGN OF THE APP SHOULD BE COLOURFUL, HIGHLIGHTING THE BRAND'S FASHIONABLE AND ENERGETIC FEATURES.

ADVERTISEMENT AND PRODUCT PUSH: THE HOMEPAGE SHOULD HAVE PRECISE ADVERTISEMENT PUSH FOR USERS, PERSONALISED RECOMMENDATION OF MATCHING PRODUCTS, SIMILAR PRODUCTS, PRODUCTS THAT MAY BE LIKED, ETC., ACCORDING TO THE INFORMATION FILLED IN BY USERS, USING BIG DATA AND OTHER TECHNOLOGIES.

CLEAR CLASSIFICATION: THE DISTRIBUTION OF PICTURES AND TEXT GUIDES IN THE APP SHOULD BE VERY CLEAR AND CONCISE, AND CAN BE PARTITIONED INTO COLUMNS FOR DIFFERENT SERIES, STYLES, GENDERS AND AGES.

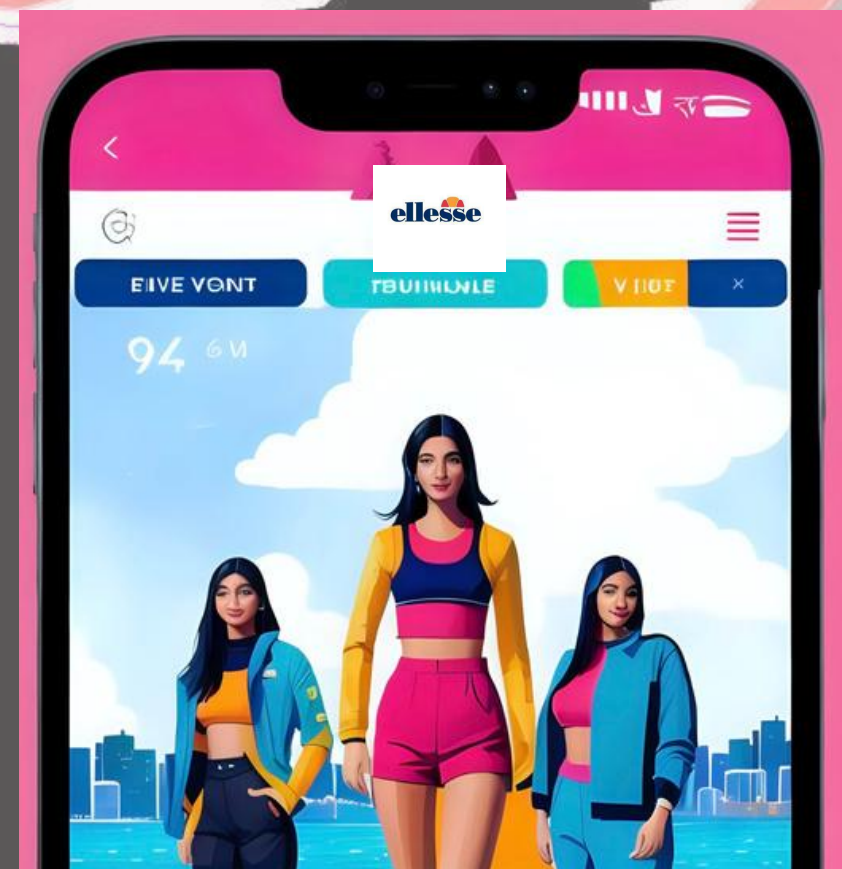
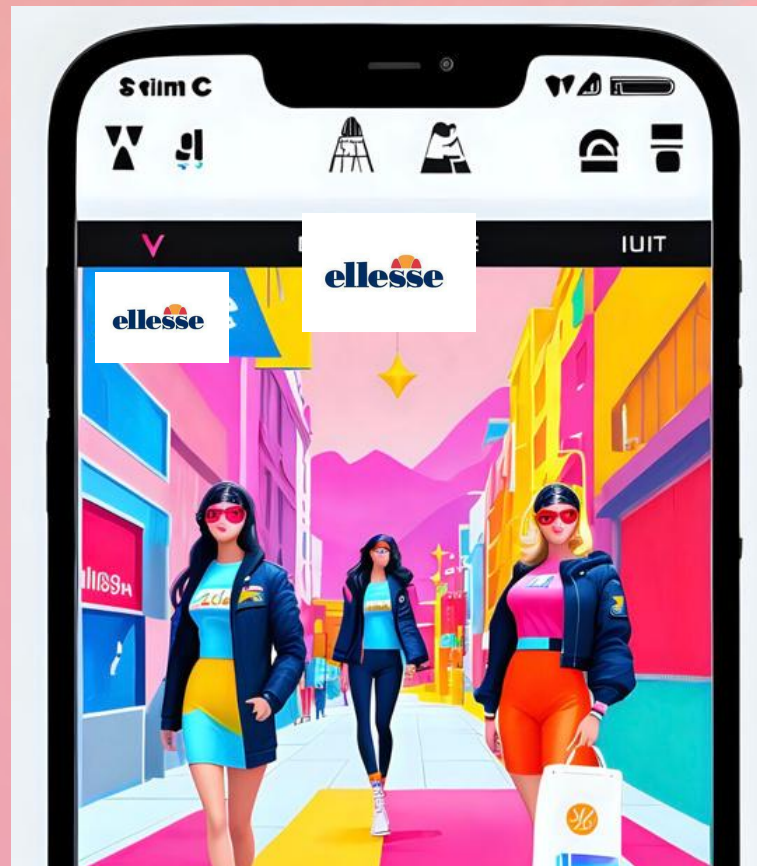
ADD VIRTUAL COLUMNS: AT THE BOTTOM OF THE PARTITION, THREE SECTIONS SHOULD BE ADDED TO DESIGN VIRTUAL FASHION COLUMNS, VIRTUAL GAMES AND VIRTUAL COMMUNITIES. THE VIRTUAL FASHION COLUMN IS USED TO BUY VIRTUAL CLOTHES, AND THERE ARE THREE VIRTUAL FASHION SERIES IN IT. THE VIRTUAL GAME IS USED TO ENTER THE VIRTUAL GAME TO DRESS UP THE VIRTUAL CHARACTERS AND BREAK THROUGH THE LEVELS, SO AS TO GET VIRTUAL COINS AND GET AN IMMERSIVE EXPERIENCE. THE VIRTUAL COMMUNITY IS USED TO SHARE VIRTUAL CLOTHES, EXCHANGE AND FEEDBACK, AND DISCUSS VIRTUAL GAMES.



Customer buying process ————— Online

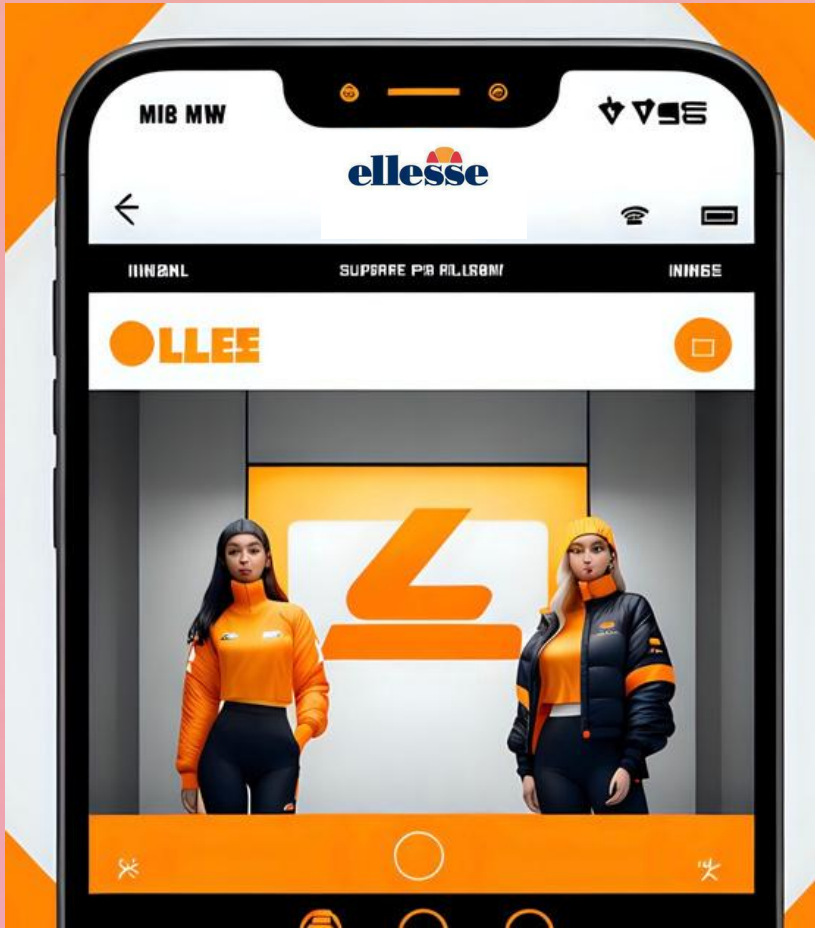
(2) ELLESSE ALLOWS CUSTOMERS TO DRESS UP IN VIRTUAL GAMES AND EARN VIRTUAL COINS THAT CAN BE USED AS CASH CREDITS.

FOR EXAMPLE, LOUIS VUITTON, A SUBSIDIARY OF LVMH, HAS LAUNCHED A VIRTUAL UNIVERSE GAME IN WHICH PLAYERS CAN COLLECT NFTS AND WORK WITH PRADA TO DESIGN COSTUMES FOR CHARACTERS IN THE FINAL FANTASY XIII VIDEO GAME. BURBERRY, FOR EXAMPLE, IS DETERMINED TO LEAD THE WAY IN DIGITAL OWNERSHIP AND GAMING. AFTER EXPERIMENTING WITH ITS OWN GAMES, THE BRITISH BRAND IS NOW LOOKING TO TAKE IT A STEP FURTHER BY RELEASING ITS FIRST NFT VINYL TOYS AND DIGITAL APPAREL AT BLANKO'S BLOCK PARTY, AN OPEN-WORLD MULTIPLAYER GAME IN WHICH PLAYERS CAN COLLECT, UPGRADE AND SELL DIGITAL TOYS. (ALICE FINNEY, 2022)

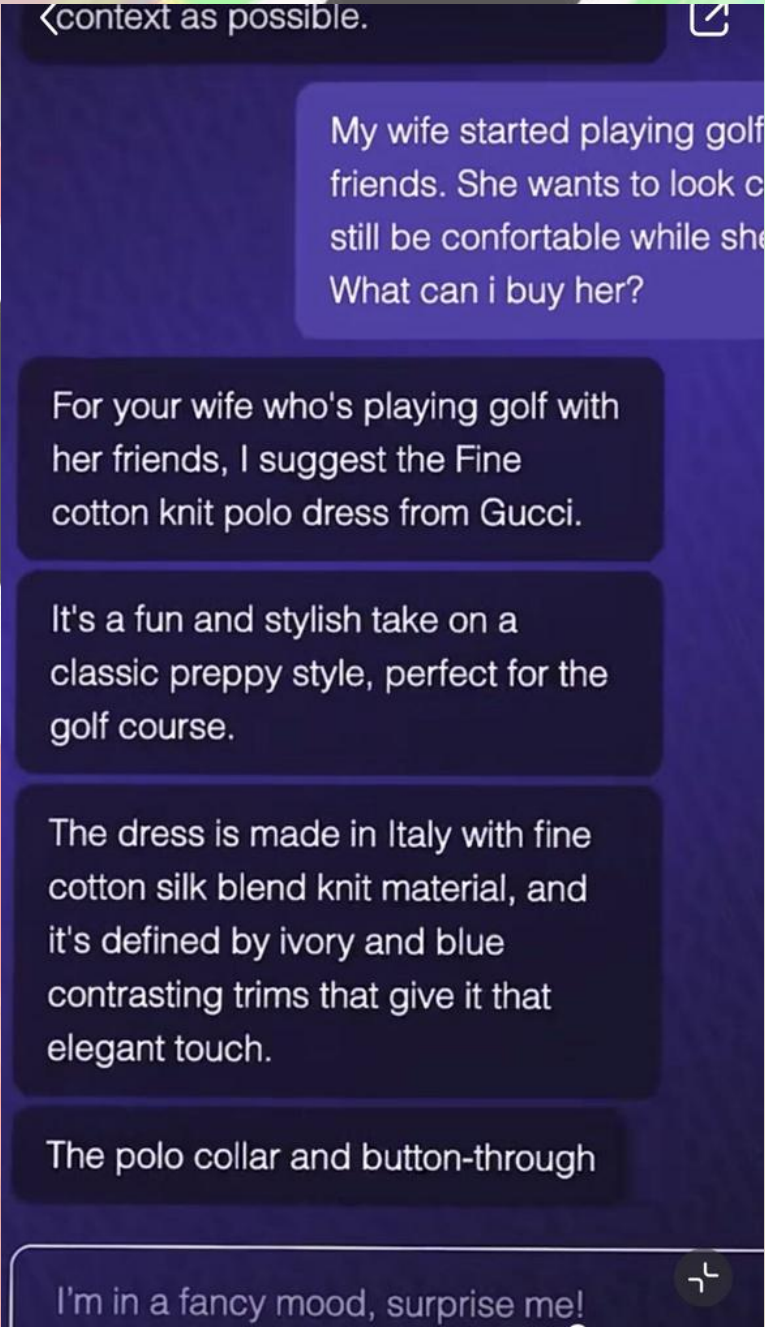
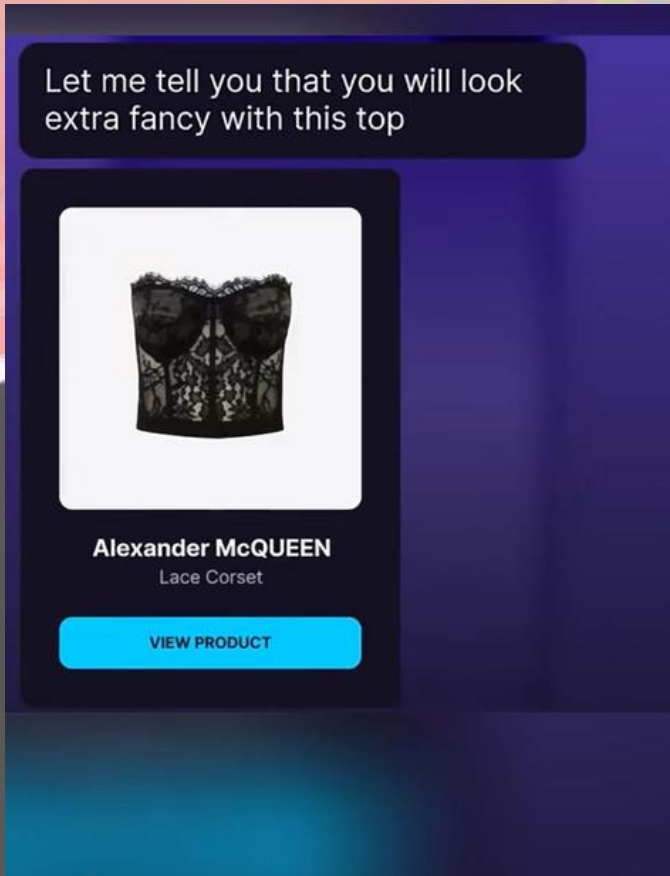


Customer buying process ————— Online

(3) Ellesse can place a link next to the product to click on for a live product explanation playback, as well as featuring irregular live broadcasts and random discount coupon campaigns.



(4) Ellesse can set up a 24h online robot chat on the app so that consumers can ask the robot some basic questions.



(5) Ellesse can add a virtual try-on function next to the product, so that customers can feel the effect of the upper body at home.



Customer buying process — Offline

(1) ELLESSE CONDUCTS OFFLINE VR VIRTUAL EXPERIENCES THAT CAN CLEVERLY BRING THE IN-STORE SHOPPING EXPERIENCE DIRECTLY TO THE ONLINE SHOPPER'S DIGITAL DEVICE.

FOR EXAMPLE, BURBERRY HAS PARTNERED WITH GOOGLE SO THAT CONSUMERS SEARCHING FOR THE BLACK TB BAG AND ARTHUR CHECK SNEAKER ON GOOGLE WILL BE ABLE TO VIEW THESE PRODUCTS IN 3D. (17 ET AL., 2023)



(2) ELLESSE CAN ALSO UTILISE OFFLINE EXPERIENCE AR TO CREATE BRAND BUZZ.

FOR EXAMPLE, BURBERRY WORKED WITH ARTIST DANNY SANGRA TO CREATE "BURBERRY-INSPIRED" GRAPHICS FOR A DEDICATED AR FEATURE IN ITS IOS APP. THE APP COMBINES AN E-COMMERCE SHOP WITH INTERACTIVE BRANDING FEATURES. WITH THE AR COMPONENT, USERS CAN DECORATE THEIR SURROUNDINGS IN REAL TIME BY ADDING DANNY SANGRA'S IMAGES TO THEIR PHOTOS. USERS CAN THEN SHARE THESE IMAGES ON SOCIAL MEDIA, HELPING THE BRAND TO FURTHER ENHANCE ITS IMAGE, ESPECIALLY AMONG ART LOVERS. (17 ET AL., 2023)



After Customer Purchase

After purchasing virtual clothing

(1) Ellesse can guide customers, especially virtual bloggers, to post photos on social media wearing virtual fashion collections, personalised virtual fashions and start virtual fashion trends.



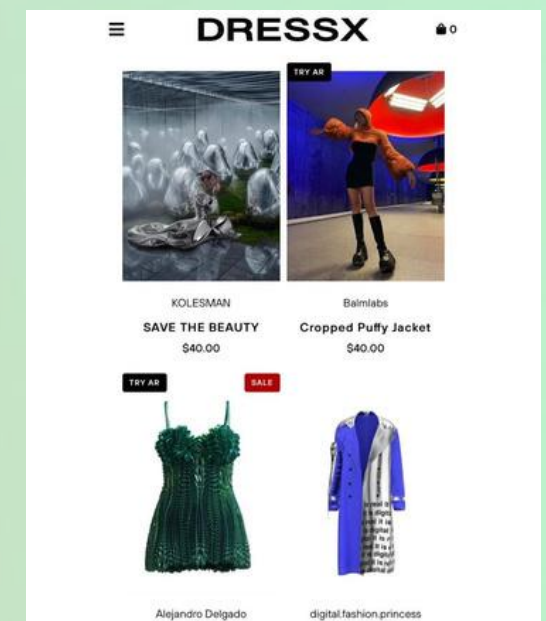
(2) Ellesse can create virtual communities and guide customers to communicate and give feedback in the virtual communities.

For example, Gucci recently announced the construction of a virtual "Gucci Town" on the gaming platform Roblox. The town is centred on an open plaza, surrounded by cafes, game houses, crafts halls, selfie corners, and a Gucci shop, which increases social interaction and stickiness among users through the establishment of a virtual community, making it a luxury brand at the forefront of the virtual world.



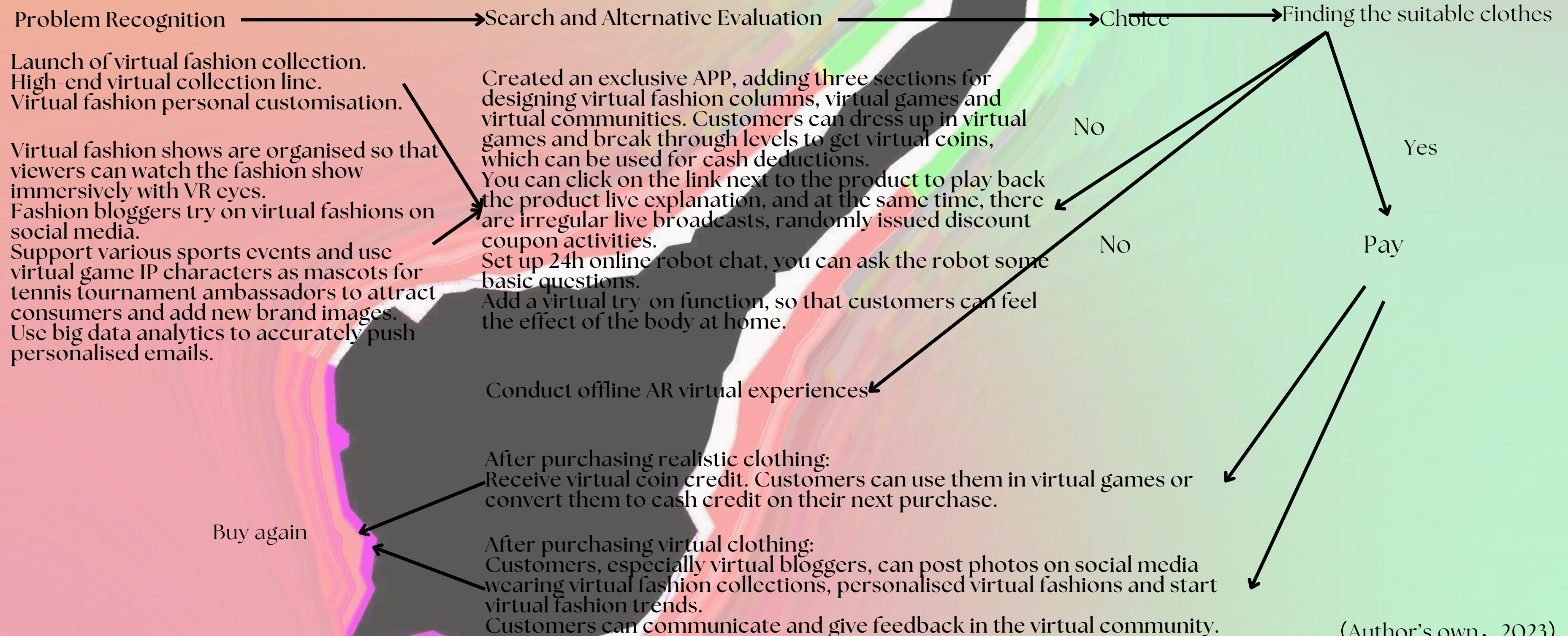
After purchasing realistic clothing

Ellesse can set up a virtual coin credit system where consumers can earn virtual coin credits for purchasing products. The virtual coins can be used in virtual games or converted to cash credit on their next purchase.



Feasibility analysis

Consumer Buying process



(Author's own, 2023)

Advantages and disadvantages of the proposal

Benefits:

Product innovation: Releasing virtual fashion collections, high-end virtual collections and virtual fashion personalisation can attract more consumers and increase the uniqueness and attractiveness of the brand.

Innovative marketing strategies: Virtual fashion shows, social media try-on promotions, and big data analytics can help to increase brand exposure and interaction between brands and consumers.

Online shopping experience: Dedicated apps, virtual games and community boards, 24-hour online robo-chat, and virtual try-on features provide a more convenient and interactive online shopping experience, helping to increase consumer engagement and purchase intent.

Customer Satisfaction and Loyalty: Offering ways to post photos on social media after purchasing virtual clothing, exchanging feedback in a virtual community, and earning virtual coin points can increase consumer engagement and loyalty.

Potential Challenges:

TECHNICAL AND IMPLEMENTATION RISKS: There may be technical barriers and implementation risks to adopting new technologies and experiences. If the technology operates erratically or the user experience is poor, it may affect consumer usage and brand perception.

Consumer Acceptance: Virtual experiences and interactions may not be accepted by all consumers, especially older consumers or consumers who are not interested in new technologies and may prefer traditional shopping methods.

Privacy and data security: Big data analytics and online interactions may raise privacy and data security concerns, especially with regard to the collection and use of personal data, and brands will need to follow strict regulations to protect consumer data.

Costs and resource investment: These new technologies and experiences require considerable capital and resource investment, including technology development, labour costs and marketing, and brands need to assess the balance between costs and benefits.

Overall, these innovations can bring many advantages to brands, but potential challenges and risks need to be carefully addressed. to ensure that these innovations can effectively add value to the Ellesse brand.

Conclusion

In the current digital transformation, the Ellesse innovations presented in this report can open up unprecedented opportunities for brands. Brands embarking on immersive virtual marketing represents a new opportunity in the early stages of digital transformation for sports brands. It is recommended that Ellesse utilise VR/AR in time to create a branded virtual space that will provide a solid foundation for virtual fitting. At the same time, Ellesse should also expand the presentation of the brand's virtual community to allow consumers to display, share and exchange products through new technology terminals such as VR, providing consumers with a new gamified experience.

The long-term goal of the brand is to break through the limitations of time and space at a lower cost through immersive virtual marketing capabilities, actively expanding the brand's access to more potential markets. This innovative initiative eliminates the need for flagship shops and retail channels to allow consumers in North America or Asia Pacific to try out products and make purchasing decisions. By ensuring smooth logistics, brands can further expand their global footprint and achieve higher levels of growth.

The benefits of Ellesse's digital transformation are not only reflected in the brand's business, but also in the significant improvement of its image. These innovations will pave the way for the brand's future digital transformation by increasing consumer loyalty, expanding the global market and adapting the brand to the new era of digital transformation, while changing classical stereotypes and infusing them with digital technology and dynamic imagery to present a sustainable image.



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